

CHAPTER 8

RISK OF FRAUD AND ILLEGAL ACTS

Learning Objectives

- Understand the prevalence of illegal acts and fraud in today's world.
- Compare and contrast various illegal acts/fraud definitions.
- Describe the fraud triangle and why all three elements must exist for fraud to occur.
- Define the types of fraud and fraud risk factors.
- Define governance, risk management, and control in the context of fraud.
- Describe fraud prevention, deterrence, and detection techniques.
- Understand the behavioral aspects of fraudsters.
- Describe internal auditors' compliance and fraud-related responsibilities related to protecting the organization from regulatory violations.
- Understand evolving responsibilities of the internal audit function, including the involvement of forensic accountants and fraud examination specialists.

One of the most significant risks faced by contemporary organizations continues to be the risk of fraud. When fraud surfaces—whether committed by individual employees, collusion among multiple employees, or outside third parties—the afflicted organization may incur not only significant financial losses but also serious reputational damage. In many cases, the occurrence of fraud at a public company quickly leads to precipitous declines in stock prices and market capitalization, and may be an early

indicator of financial distress. Indeed, fraud and financial distress seem to relate to each other in a “chicken-and-egg” sort of way: fraud can lead to financial distress, but financial distress frequently fuels fraud. Given the serious economic consequences of fraud, senior management and governing boards are increasingly stressing antifraud programs and controls to address key business, regulatory compliance, and marketplace drivers. This renewed global focus on corporate governance comes from a realization that fraudulent financial reporting could easily cause an organization to fail.

Illegal acts are activities that violate laws and regulations of particular jurisdictions where a company is operating. In recent times, the U.S. Department of Justice has stepped up its efforts in prosecuting companies that have violated provisions of the Foreign Corrupt Practices Act of 1977. Internal auditors at major corporations often take the lead to ensure compliance with regulatory matters. The first steps usually include completion of a fraud risk assessment. There has also been an increase in the adoption of new roles within many organizations, such as chief compliance officer (CCO) and chief risk officer (CRO). The internal audit function may work closely with the individuals in these new roles. In addition, some chief audit executives (CAEs) may now have the compliance function report to them. As always, in such circumstances, the CAE should carefully navigate around any potential independence or objectivity concerns.

This chapter starts by comparing and contrasting different definitions of fraud to illustrate the different ways in which fraud can be viewed. Next, the fraud triangle is explored as a means of understanding the key factors that must be present for fraud to occur. This chapter then outlines key principles for a fraud prevention and detection program. Having a good understanding of these principles will lay the foundation for the role an internal audit function can play in such a program. The discussion then moves to the role that a strong fraud prevention and detection program can have in supporting the governance structure. This naturally leads to the importance of a fraud risk assessment, and how this assessment enables an organization to develop preventive and detective fraud controls. Finally, the implications fraud has on the role and focus of the internal audit function

are explored. The IIA's *International Standards for the Professional Practice of Internal Auditing (Standards)* makes several references to the internal audit function's fraud-related responsibilities.

OVERVIEW OF FRAUD IN TODAY'S BUSINESS WORLD

Fraud is not limited to only certain countries or industries. It can arise in virtually any organization at any time. At the dawn of the twenty-first century, the large accounting scandals in the U.S. (for example, Enron and World Com) were headline news across the globe. These corporate scandals not only cost investors billions of U.S. dollars, they resulted in a loss of confidence in the U.S. capital markets. This prompted the passage of the U.S. Sarbanes-Oxley Act of 2002, which was intended to enhance corporate governance and restore investor confidence in the capital markets.



EXHIBIT 8-1

IPPF GUIDANCE RELEVANT TO CHAPTER 8

Standard 1210 – Proficiency

Standard 1220 – Due Professional Care

Standard 2060 – Reporting to Senior Management and the Board

Standard 2110 – Governance

Standard 2120 – Risk Management

Standard 2210 – Engagement Objectives

Practice Advisory 1210-1: Proficiency

Practice Advisory 1210.A1-1: Obtaining External Service Providers to Support or Complement the Internal Audit Activity

Practice Advisory 1220-1: Due Professional Care

Practice Advisory 2030-1: Resource Management

Practice Advisory 2060-1: Reporting to Senior Management and the Board



EXHIBIT 8-2

INTERNATIONAL EXAMPLES OF FRAUD

In January 2009, B. Ramalinga Raju, chairman of Satyam Computer Systems, the fourth largest technology outsourcing company from India, made a startling and very public confession. In addition to furnishing details of inflating facts and figures over an extended period of time, he lamented that despite the concerted efforts to cook the books, the gap between actual profits and those reported in the books of accounts remained, ruefully noting that, “It was like riding a tiger, not knowing how to get off without being eaten.”¹ After having led the outsourcing company for two decades, possessing over 100 of the Fortune 500 companies as clients, and being a successful business leader representing India at the Davos World Economic Forum Summit, Mr. Raju’s revelations raised uncomfortable questions about corporate governance in India. The Central Bureau of Investigation (CBI)—similar to the Federal Bureau of Investigation (FBI) in the U.S.—that looks into India’s most serious and complex crimes, filed documents in a court in Hyderabad, India, in April 2009 that lay out what it alleges are the outlines of a scandal that has become known as “India’s Enron.”

The CBI alleges that Mr. Raju, two of his brothers, and four other Satyam executives committed the fraud by forging more than 7,000 fake invoices and dozens of bogus bank statements to inflate Satyam’s earnings. It all started when, in December 2008, Mr. Raju attempted to accomplish unrelated diversification of Satyam’s business by combining with related parties—he sought to acquire Maytas Properties and Maytas Infra, companies led by his sons. Institutional investors globally objected to this brazen strategy of browbeating Satyam’s Board of Directors into acquiescing with the chairman’s wishes—most of the board resigned even before Raju’s confession (the global company with some 53,000 employees in 66 countries is listed on the Bombay Stock Exchange, India; the Amsterdam Stock Exchange, the Netherlands; and the New York Stock Exchange, USA).

The two audit partners, S. Gopala Krishnan and Srinivas Talluri, who have been suspended from PriceWaterhouse, the Indian audit arm of

PricewaterhouseCoopers (PwC), received certificates of deposit from Satyam's banks that were in "great variance with the figures provided by the company's management" but signed off on the fudged accounts anyway, the CBI claimed. ² Mr. Krishnan and Mr. Talluri are in prison in Hyderabad, along with the others who were accused.

The CBI further alleged that the auditors received several times the market rate for the audit work they carried out for Satyam. Since January, furious investors have been demanding to know how the auditors missed a systematic fraud that also severely dented confidence in India's regulatory bodies. Interestingly, news articles in India make no reference to the existence of an internal audit function at Satyam Computer Services.

The CBI's case may impact the potentially enormous legal liabilities to which Satyam is exposed, including a potential class-action lawsuit from U.S. and other global investors. It also has implications for how the other large IT outsourcing companies from India such as Infosys, Wipro, Tata Consultancy Services, and others strengthen their own internal controls and corporate governance structures and mechanisms, including internal audit functions.

On April 13, 2009, Tech Mahindra, the IT group partly owned by BT (British Telecom), agreed to buy Satyam despite the full nature of the scandal remaining a mystery. The sale, conducted by auction and facilitated by the Indian government, valued Satyam at about £670 million and will transform Tech Mahindra into an outsourcing group employing about 75,000 people.

Other noteworthy examples of massive financial frauds outside the United States include: wholesale fraud at the Bank of Credit and Commerce International (BCCI), based in the United Kingdom; the multibillion dollar fraud at Parmalat, the Italian dairy giant; numerous financial statement re-statements at Nortel Networks, one of Canada's largest companies, that eventually filed for bankruptcy; the corporate governance failure at Olympus, a Japanese medical devices company whose senior executives systematically hid losses through sudden and unrelated acquisitions; bribery and corruption "on an unprecedented scale and geographic reach" of government officials worldwide by the Siemens Group in Germany; the facilitation of tax evasion by clients of

UBS of Switzerland, the largest money manager in the world for the wealthy (note that tax evasion is not illegal in Switzerland); the Dutch food service giant, Royal Ahold NV, engaged in widespread earnings manipulation and securities fraud; and the years of fraudulent financial reporting at Kanebo, a giant cosmetics and textiles company in Japan.

¹ Source: B. Ramalinga Raju's memo from January 7, 2009, addressed to Satyam Computer Systems' Board of Directors.

² The references to the CBI report on Satyam have been culled from the online newsletter available to members of the Institute of Chartered Accountants of India (April 2009).

Since 2002, the emphasis on improved corporate governance has become an increasingly global trend, with countries such as the United Kingdom, France, Germany, Canada, Indonesia, South Africa, Australia, India, and Japan adopting new rules and regulations. [Chapter 3](#) , “Governance,” discusses the importance of strong governance, and appendix 3-B, “Summary of Governance and Risk Management Codes From Other Countries,” summarizes many of these codes. Clearly, the driving factor behind such regulatory interest is to preserve market confidence by directly addressing and mitigating the risk of fraudulent financial reporting. Examples of fraud that led to this emphasis on improved corporate governance outside the United States are presented in [exhibit 8-2](#) .



The Association of Certified Fraud Examiners (ACFE) conducts a biannual survey of its members and prepares a *Report to the Nation on Occupational Fraud & Abuse (Report to the Nation)*. The latest 2012 Report spans 94 countries and thus provides insights into the role of fraud across the world. The 2012 *Report to the Nation* is based on data compiled from 1,388 cases of occupational fraud from a wide range of industries that were investigated in 2010 and 2011. Fraud continues to be a major concern for organizations worldwide, with more than one-fifth of fraud incidents causing losses of at least \$1 million in 2011.

Corruption

Acts in which individuals wrongfully use their influence in a business transaction in order to procure some benefit for themselves or another person, contrary to their duty to their employer or the rights of another (for example, kickbacks, self-dealing, or conflicts of interest).

Information from these cases was reported by the certified fraud examiners (CFEs) who investigated the cases. The 2012 report summarized the following findings:

- Participants in the survey estimated that organizations lose 5 percent of their annual revenues to fraud, a slight decrease from the 6 percent estimated (for the U.S. only) in the 2010 *Report to the Nation*. Applied to

the 2011 Gross World Product (World GDP), this figure translates to a potential projected annual fraud loss of more than \$3.5 trillion.

- Occupational fraud schemes tend to be extremely costly. The median loss caused by the occupational frauds in this study was \$140,000. As noted above, more than one-fifth of the frauds involved losses of at least \$1 million.
- Occupational fraud schemes frequently continue for years before they are detected. The typical fraud in the study lasted 18 months from the time it began until the time it was caught by the victim organization.
- The most common fraud schemes were asset misappropriation, which occurred in 87 percent of all cases, and resulted in a median loss of \$120,000. Financial statement fraud, which made up just 8 percent of the cases in the study, was the most costly category, with a median loss of \$250,000.
- Occupational frauds are much more likely to be detected by a tip than by audits, controls, or other means.
- Corruption and billing schemes pose the greatest risks to organizations throughout the world. For all geographic regions, these two scheme types comprised more than 50 percent of the frauds reported.
- The longer a perpetrator has worked for an organization, the higher the fraud losses tend to be. Perpetrators with more than 10 years of experience at the victim organization caused a median loss of \$229,000. By comparison, the median loss caused by the perpetrators who committed fraud in their first year on the job was only \$25,000.
- While fraud can occur in any type of organization, the industries most commonly victimized were banking and financial services, government and public administration, and manufacturing.
- Occupational frauds were most often committed by individuals working in one of six departments: accounting, operations, sales, executive/upper management, customer service, and purchasing. Not surprisingly, frauds committed by owners and executives were particularly costly, resulting in a median loss of \$573,000, compared with \$180,000 for managers and \$60,000 for employees.

- Occupational fraudsters are generally first-time offenders. Of the individuals identified as perpetrators, approximately 67 percent were first-time offenders with clean employment histories, and 84 percent had never been punished or terminated by an employer for fraud-related conduct.
- Fraud perpetrators often display behavioral traits that serve as indicators of possible illegal behavior; this was noted in 81 percent of the cases reported. The most commonly cited red flags were perpetrators living beyond their apparent means (36 percent), experiencing financial difficulties (27 percent), unusually close association with vendors or customers (19 percent), and excessive control issues (18 percent). ¹

The key point to reinforce here is that no organization is immune to fraud. It can occur in both large and small organizations, and in any country or industry. As long as human beings, with their inherent frailties, are involved in organizations, the risk of fraud is real.

Common Fraud Perpetrator Red Flags:

- Living beyond their means
- Experiencing financial difficulties
- Excessive organizational pressure

DEFINITIONS OF FRAUD

While most individuals have a general understanding of fraud and can probably provide one or more examples, defining it is not so easy. Since most types of fraud are illegal, it is appropriate to start with a legal-focused definition. [Exhibit 8-3](#) provides such a definition from *Black's Law Dictionary*, the most widely used law dictionary in the United States. While some of the terms may differ from those used throughout the rest of this chapter, the focus is similar in that it focuses on acts whereby one individual takes advantage of another.

There are many other definitions of fraud that represent the perspective of both internal and independent outside auditors. Organizations representing

auditors as well as fraud examiners have attempted to define fraud and delineate the roles and responsibilities of their respective member constituency. In 2008, The Institute of Internal Auditors (IIA), the American Institute of Certified Public Accountants (AICPA), and the Association of Certified Fraud Examiners (ACFE) collaborated on a guidance paper titled *Managing the Business Risk of Fraud: A Practical Guide* (the *Fraud Guide*). This guidance outlines five key principles of a fraud risk management process and recommends ways in which boards, senior management, and internal auditors can fight corporate fraud. The report is the result of two years of work from a dedicated task force of more than 20 experts in the field of fraud risk identification, mitigation, and investigation. It contains the following definition:

Fraud is any intentional act or omission designed to deceive others, resulting in the victim suffering a loss and/or the perpetrator achieving a gain. ²



EXHIBIT 8-3

BLACK'S AUTHORITATIVE DEFINITION OF FRAUD

Fraud is a legal term and frequently involves a legal determination to be made, so the broad definition from *Black's Law Dictionary* may be the most appropriate to consider in this context:

"[Fraud is] a generic term, embracing all multifarious means which human ingenuity can devise, and which are resorted to by one individual to get advantage over another by false suggestions or by suppression of truth, and includes all surprise, trick, cunning, dissembling, and any unfair way by which another is cheated ... Elements of a cause of action for "fraud" include false representation of a present or past fact made by defendant, action in reliance thereupon by plaintiff, and damage resulting to plaintiff from such misrepresentation."

Source: *Black's Law Dictionary*, 1979, p. 594.

Fraud

Any illegal act characterized by deceit, concealment, or violation of trust. Frauds are perpetrated by parties and organizations to obtain money, property, or services; to avoid payment or loss of services; or to secure personal or business advantage.

The key points from this definition will be discussed in greater detail throughout this chapter. However, each of the sponsoring organizations has their own definitions, reflecting their specific perspectives of fraud. These definitions are shown in [exhibit 8-4](#) .

The IIA's definition is probably the broadest, referring to "Any illegal act characterized by deceit, concealment, or violation of trust." This definition is consistent with the broad role of an internal audit function within an organization. The IIA's definition goes on to cite the types of perpetrators and the potential advantages such individuals may gain. Once again, it is evident how broad The IIA views the internal audit function's role within an organization. Many aspects of this definition will be discussed in later sections of this chapter.

The AICPA's definition is, not surprisingly, much narrower. It specifically focuses on "misstatements arising from fraudulent financial reporting and misstatements arising from misappropriation of assets." Given the public accounting profession's primary focus on the financial statement audit, now expanded in the United States and other countries to include an audit of internal control over financial reporting, it is not surprising that the AICPA discusses the concept of fraud by evaluating its relation to, and effect on, the organization's financial statements. Refer to [exhibit 8-5](#) where the standards relating to independent outside auditors are outlined.

Fraudulent financial reporting involves intentional misstatements or omissions of amounts or disclosures in financial statements designed to deceive financial statement users. The nature of these misstatements or omissions is the failure of the financial statements to be presented, in all material respects, in conformity with Generally Accepted Accounting Principles (GAAP). Fraudulent financial reporting can be accomplished by:

- Manipulating, falsifying, or altering accounting records or supporting documents from which the financial statements are prepared.

- Misrepresenting, or intentionally omitting from, the financial statements events, transactions, or other significant information.
- Intentionally misapplying accounting principles relating to amounts, classification, manner of presentation, or disclosure.



EXHIBIT 8-4 DIFFERENT DEFINITIONS OF FRAUD

The Institute of Internal Auditors (IIA) (From the Glossary to its *Standards in the International Professional Practices Framework*)

Any illegal act characterized by deceit, concealment, or violation of trust. These acts are not dependent upon the threat of violence or physical force. Frauds are perpetrated by parties and organizations to obtain money, property, or services; to avoid payment or loss of services; or to secure personal or business advantage.

The American Institute of Certified Public Accountants (AICPA) (From Statement on Auditing Standard No. 99)

... fraud is an intentional act that results in a material misstatement in financial statements that are subject to an audit. The two types of misstatements ... misstatements arising from fraudulent financial reporting and misstatements arising from misappropriation of assets.

Association of Certified Fraud Examiners (ACFE) (From the *2008 Report to the Nation on Occupational Fraud*)

The use of one's occupation for personal enrichment through the deliberate misuse or misapplication of the employing organization's resources or assets.

Misstatements arising from misappropriation of assets (sometimes referred to as pilferage, embezzlement, or defalcation) involve the theft of an organization's assets in which the effect of the theft causes the financial

statements not to be presented, in all material respects, in conformity with GAAP. Misappropriation of assets can be perpetrated in various ways, including embezzling receipts, stealing assets, or causing an entity to pay for goods or services that have not been received. Misappropriation of assets may be accompanied by false or misleading records or documents, or suppressing evidence, possibly created by circumventing internal controls. Frequently, collusion with other employees or third parties also may be involved.

The ACFE's definition focuses on occupational fraud, that is, fraud in the workplace. Occupational fraud encompasses a wide range of misconduct by employees, managers, and executives. Occupational fraud schemes can be as simple as petty cash theft or as complex as fraudulent financial reporting. Four elements seem to characterize the incidence of occupational fraud. Such an act:

- Is clandestine (that is, secretive and suspicious).
- Violates the perpetrator's fiduciary duties to the victim organization.
- Is committed for the purpose of direct or indirect financial benefit to the perpetrator.
- Costs the employing organization assets, revenues, or reserves.

Misappropriation of Assets:

- Pilferage
- Embezzlement
- Defalcation

The ACFE's Occupational Fraud and Abuse Classification System describes three main types of fraud: fraudulent statements, which generally involve falsification of an organization's financial statements (for example, overstating revenues and understating liabilities and expenses); asset misappropriation, which involves the theft or misuse of an organization's assets (for example, skimming revenues, stealing inventory, or payroll fraud); and corruption, in which fraudsters wrongfully use their influence in a business

transaction to procure some benefit for themselves or another person, contrary to their duty to their employer or the rights of another (for example, kickbacks, self-dealing, or conflicts of interest). Refer to [exhibit 8-6](#) for an outline of this classification system.

EXHIBIT 8-5

FRAUD REQUIREMENTS OF INDEPENDENT OUTSIDE AUDITORS

U.S. Public Companies

The Public Company Accounting Oversight Board (PCAOB) promulgates standards that guide the issuance of opinions covering the financial statements of public companies in the U.S. Specific to fraud, the PCAOB standards state in AU Section 110.02 *Responsibilities and Functions of the Independent Auditor* , “The auditor has a responsibility to plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement, whether caused by error or fraud.” The PCAOB standards address fraud more specifically in AU Section 316, *Consideration of Fraud in a Financial Statement Audit* , the source of which is the AICPA Statement of Auditing Standard (SAS) No. 99. Refer to discussion below for specific guidance provided in SAS No. 99.

U.S. Non-public Companies

Since the PCAOB’s authority covers only those audits conducted for U.S. public companies, non-public companies continue to follow the AICPA’s standards. SAS No. 99, *Consideration of Fraud in a Financial Statement Audit* , states that “... [independent outside] auditors are responsible for planning and performing an audit to obtain reasonable assurance about whether the financial statements are free of material misstatements whether caused by error or fraud.” Specifically, SAS No. 99 contains the following additional guidance for (independent outside) auditors in the U.S.:

- Increased emphasis on fraud awareness and professional skepticism

- Audit engagement team discussion (“brainstorming session”)
- Gathering information needed to identify the risk of material misstatement due to fraud
- Summarizing identified fraud and the auditor’s planned response
- Mandatory audit procedures to address the risk of management override of internal control activities
- Evaluating audit results
- Communications about fraud with management, audit committee, and others

Non-U.S. Companies

The International Auditing and Assurance Standards Board issued International Standard on Auditing (ISA) 240, *The Auditor’s Responsibility to Consider Fraud in an Audit of Financial Statements*, which states “In planning and performing the audit to reduce audit risk to an acceptably low level, the auditor should consider the risks of material misstatements in the financial statements due to fraud.” ISA 240 provides additional guidance that is similar to that discussed above in SAS No. 99.

Fraudulent Financial Reporting

Acts that involve falsification of an organization’s financial statements (for example, overstating revenues, understating liabilities and expenses).

Internationally, the pertinent standard furnishing guidance for auditors is International Standard on Auditing (ISA) No. 240: The Auditor’s Responsibility Relating to Fraud and Error in an Audit of Financial Statements, issued by the International Federation of Accountants (IFAC). Although this standard applies primarily to independent outside auditors, its contents and guidance are relevant to internal auditors as well. Fraud, waste, and abuse are also a big concern in government, and the Governmental Auditing Standards in the United States (also known as the Yellow Book) devotes several sections to government internal auditors’ responsibilities in this area.

Each of these fraud definitions supports the focus of the professional organization that created it. However, since these organizations worked together to issue the *Fraud Guide*, the definition used in the guide, specifically that “Fraud is any intentional act or omission designed to deceive others, resulting in the victim suffering a loss and/or the perpetrator achieving a gain,” will serve as the basis for discussion throughout the rest of this chapter. It is a simple, yet comprehensive, definition that provides the foundation for the principles and other guidance contained in the *Fraud Guide*.

THE FRAUD TRIANGLE

An important conceptual framework in understanding fraud is Cressey’s Fraud Triangle, loosely based on what police officers and detectives have referred to as “means, motives, and opportunity.” First conceived by sociologist Donald Cressey, and widely disseminated by the ACFE, the fraud triangle has three components: perceived need/pressure, perceived opportunity, and rationalization of fraudulent behavior. [Exhibit 8-7](#) is a visual representation of these three components.

The fraud triangle highlights the three elements that may be called the “root causes of fraud.” These elements are always present, no matter the type of fraud. Fraud perpetrators want to relieve real or perceived pressure (for example, generating the attitude that when you can’t “make” the numbers, you just “make up” the numbers), they need to see ample opportunity so that they can carry out the fraud with ease (for example, nobody’s watching the store, the employee is trusted completely), and most importantly, they need to rationalize their action as acceptable (for example, I’m doing it for the good of the company). Rationalization allows fraud perpetrators to believe that they have done nothing wrong and are “normal people.” Specifically, fraud perpetrators must be able to justify their actions to themselves as a psychological coping mechanism to deal with the inevitable “cognitive dissonance” (that is, a lack of congruence between their own perception of being honest and the deceptive nature of their action or behavior). Said another way, they need excuses. A typical list includes:



EXHIBIT 8-6

OUTLINE OF THE ACFE'S OCCUPATIONAL FRAUD AND ABUSE CLASSIFICATION SYSTEM

1. Intentional manipulation of financial statements, which can lead to:

- a. Inappropriately reported revenues.
- b. Inappropriately reported expenses.
- c. Inappropriately reflected balance sheet amounts, including reserves.
- d. Inappropriately improved and/or masked disclosures.
- e. Concealing misappropriation of assets.
- f. Concealing unauthorized receipts and expenditures.
- g. Concealing unauthorized acquisition, disposition, and use of assets.

2. Misappropriation of:

- a. Tangible assets by:
 - i. Employees.
 - ii. Customers.
 - iii. Vendors.
 - iv. Former employees and others outside the organization.
- b. Intangible assets.
- c. Proprietary business opportunities.

3. Corruption, including:

- a. Bribery and gratuities to:
 - i. Companies.
 - ii. Private individuals.
 - iii. Public officials.
- b. Receipt of bribes, kickbacks, and gratuities.
- c. Aiding and abetting fraud by other parties (e.g., customers, vendors).

Source: The Institute of Internal Auditors, The American Institute of Certified Public Accountants, and the Association of Certified Fraud Examiners, *Managing the Business Risk of Fraud: A Practical Guide*, p. 24.

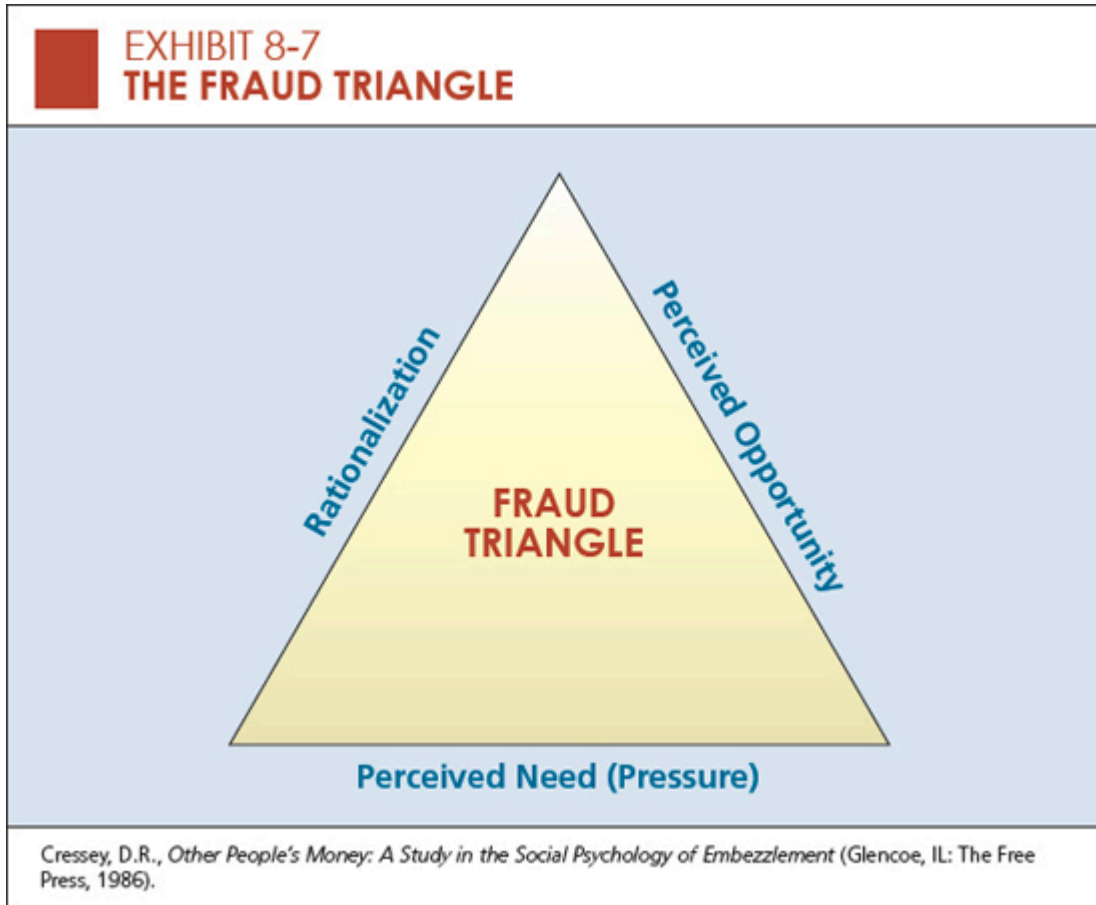
Occupational Fraud

Fraud in the workplace:

- Falsification of financial statements
 - Asset misappropriation
 - Corruption
-
- Everyone's doing it, so I am no different.
 - Taking money from the cash till was just a temporary "borrowing." The money will be returned when the gambling/betting winnings materialize.
 - The employer is underpaying me, so I deserve these "perks" as reasonable compensation, and the company can certainly afford it.
 - I am not hurting anyone—in fact, it's for a good cause!
 - It is not really a serious matter.

Consider a couple of examples. A furniture store employee stealing inventory may be taking advantage of weak internal controls (perceived opportunity), the need to furnish his new apartment with nice furniture instead of the "junk" he can afford (perceived pressure from spouse), and using the rationalization that other store employees are probably stealing too (whether or not this is a fact). In the case of management fraud, the perceived pressure may be to meet earnings targets so that bonuses can be lavish, the opportunity may be weak financial reporting controls or an inactive audit committee, and the rationalization may be that "this is in the organization's best interest and therefore an appropriate use of 'cookie jar reserves' created earlier to get over a temporary hump." Although the fraud triangle is a powerful conceptual tool, there may be other personality factors that do not fit easily into those three categories. Examples of these factors include basic greed and acquisitiveness, a "revenge fraud" orientation to make the organization pay for perceived inequities, or a

“catch me if you can” attitude that some fraud perpetrators exhibit. Similarly, the organizational environment and culture may be factors. For example, a poor tone at the top, as evidenced by organizational inertia and reluctance to take any action, turning a blind eye, being content with a slap on the wrist, or a poor track record in vigorously prosecuting fraud may contribute to the likelihood of a fraud occurring. Behavioral factors are discussed in greater detail later in the chapter.





KEY PRINCIPLES FOR MANAGING FRAUD RISK

The *Fraud Guide* emphasizes how important it is for organizations to establish rigorous and ongoing efforts to protect themselves from acts of fraud. It outlines five core principles summarized in [exhibit 8-8](#) that organizations would be well-advised to follow.

Root Causes of Fraud:

- Perceived need or pressure
- Perceived opportunity
- Rationalization

Fraud Risk Governance (Principle 1)

As discussed in [Chapter 3](#), “Governance,” it is important for organizations to develop a strong governance structure to oversee risk management and other activities that are in place to help ensure achievement of business objectives. The same applies to fraud: there must be a structure in place to oversee the identification and management of fraud risks. Effective governance enables the creation and maintenance of an ethical climate within an organization, which can help prevent or deter fraud. The overall tone at the top, in effect, establishes the organization’s fraud tolerance.

Similar to the form of governance discussed in [Chapter 3](#), fraud risk governance must start with the governing board. The board helps to set the

tone for fraud risk management, and can encourage management to establish specific policies that encourage ethical behavior and promote the prevention and detection of fraud. The board is also responsible for monitoring the effectiveness of the organization's fraud risk management program. It can do this by assigning to a member of management the responsibility for the fraud risk management program and reporting to the board on the effectiveness of this program. The specific elements of a fraud risk management program are discussed later in this chapter.

Fraud Risk Assessment (Principle 2)

A fraud risk management program will not be successful without management first understanding the inherent fraud risks the organization faces. The steps in a fraud risk assessment are similar to those described for an enterprise risk assessment in [Chapter 4](#), "Risk Management." An organization must first identify the potential fraud events or scenarios to which it may be vulnerable. These events or scenarios will vary from one organization to the next, depending on the business model, industry, locations where the organization operates, culture, and other similar factors. When compiling a list of potential fraud scenarios, it may be helpful to gather information from external regulatory bodies, industry sources, guidance-setting groups, and professional organizations. The fraud triangle discussed in the previous section may help guide the brainstorming of fraud risks, particularly the opportunities that could give rise to such scenarios. For example, consideration of current incentives and pressures, together with known systems access shortcomings, may help identify a fraud risk scenario in which management accesses and modifies journal entries to overstate earnings and thereby meet a bonus target.



EXHIBIT 8-8

KEY PRINCIPLES FOR MANAGING FRAUD RISK

Principle 1: As part of an organization's governance structure, a fraud risk management program should be in place, including a written policy (or policies) to

convey the expectations of the board of directors and senior management regarding managing fraud risk.

Principle 2: Fraud risk exposure should be assessed periodically by the organization to identify specific potential schemes and events that the organization needs to mitigate.

Principle 3: Prevention techniques to avoid potential key fraud risk events should be established, where feasible, to mitigate possible impacts on the organization.

Principle 4: Detection techniques should be established to uncover fraud events when preventive measures fail or unmitigated risks are realized.

Principle 5: A reporting process should be in place to solicit input on potential fraud, and a coordinated approach to investigation and corrective action should be used to help ensure potential fraud is addressed appropriately and timely.

The organizations contributing to the *Fraud Guide* believe it “can be used to assess an organization’s fraud risk management program as a resource for improvement, or to develop a program where none exists.”

Managing the Business Risk of Fraud: A Practical Guide , The Institute of Internal Auditors, The American Institute of Certified Public Accountants, and the Association of Certified Fraud Examiners. Available for download at www.theiia.org , p. 6.



After the potential fraud risks have been identified, the impact and likelihood of each risk must be assessed. It is important to consider all possible effects of fraud scenarios, not just the financial impact. Occurrence of fraud can have a detrimental impact on an organization's reputation or violate laws and statutes, even if the event does not result in a material financial loss. The assessment of fraud risks is an important step because it helps an organization determine the level of resources that should be devoted to preventing or detecting the identified fraud scenarios.

Governance

The combination of processes and structures implemented by the board to inform, direct, manage, and monitor the activities of the organization toward the achievement of its objectives.

Finally, an organization must decide what to do about the various fraud scenarios, that is, what fraud risk responses are appropriate. Similar to the risk response discussion in [Chapter 4](#), organizations have various options for dealing with each fraud risk: *avoiding* the risk, *sharing* the risk, *reducing* the risk, *accepting* the risk, or some combination of those options.

The key is to determine a cost-effective option that will reduce the risk to an acceptable level, giving consideration to all possible risk consequences.

Fraud Prevention and Detection (Principles 3 and 4)

A fraud risk management program must have an appropriate balance between prevention and detection controls. Prevention controls may include policies, procedures, training, and communication, all of which are designed to stop fraud from occurring. Prevention controls may not provide absolute assurance that a fraud will be prevented, but they do serve as an important first line of defense in minimizing fraud risk. Prevention controls, including a strong fraud awareness program, can serve as an important deterrent to fraud (that is, discourage fraud).

Risk Assessment

The identification and analysis (typically in terms of impact and likelihood) of relevant risks to the achievement of an organization's objectives, forming a basis for determining how the risks should be managed.

While an organization typically prefers to prevent fraud, that is not always possible. Therefore, it is important to design and implement effective detection controls as well. Detection controls may include manual or automated activities that will recognize timely that a fraud has or is occurring. These controls may provide a deterrent to fraud, but they are not designed to prevent the fraud from occurring. Rather, they provide evidence that a fraud has occurred, which can be helpful in an investigation.

Fraud Reporting, Investigation, and Resolution (Principle 5)

As noted earlier in this chapter, the ACFE *Report to the Nation* indicates that frauds are more likely to be detected by a tip than by audits, controls, or other means. Therefore, it is important for an organization to establish a reporting system to facilitate and encourage reporting of potential fraud incidents. For example, a whistleblower hotline provides a means for prompt notification, helps in gathering the necessary information to enable

an investigation, if necessary, and provides for confidentiality, if desired by the individual reporting the incident. The reporting system can be managed by a member of management, but it may also be appropriate, and even required by regulation, for there to be a reporting mechanism directly to the board in certain circumstances. This provides an avenue of reporting should the individual believe senior management may be involved in the fraud incident.

Risk Response

An action, or set of actions, taken by management to achieve a desired risk management strategy. Risk responses can be categorized as risk avoidance, reduction, sharing, or acceptance.

Once an allegation has been received, there must be a structured process for evaluating and investigating the incident. In fact, establishing a sound investigation process can improve an organization's chances of recovering losses and may also minimize exposure to litigation. Depending on the circumstances, it may be necessary to involve internal or external legal counsel in the investigation, as well as other functions in the organization, such as human resources (HR), IT, and internal auditing. Having a formal, structured approach to conducting and reporting on the results of investigations will help an organization complete an investigation timely and develop and maintain the support necessary to facilitate corrective actions.

Regardless of whether an investigation results in prosecution, disciplinary action, or no action at all, it is important for an organization to have a consistent means of resolving investigations. First, timely resolution will help ensure prosecution or disciplinary actions can be taken before "the trail goes cold" (a term often used in investigations to indicate that the collection of evidence will be more difficult and potentially less relevant). Additionally, individuals involved in the fraud have a need, and in many countries a right, to be able to defend themselves timely. Second, organizations must determine what gave rise to the fraud incident so that corrective actions (for example, control enhancements) can be

implemented. Finally, management must discipline employees consistently to avoid the perception of favoritism or that disciplinary actions are arbitrary. This supports the tone at the top, which should send the message that fraudulent acts will not be tolerated and will be dealt with swiftly and consistently.

The principles outlined in this section are so important to the establishment and maintenance of an effective fraud risk management program that each will be discussed in greater detail in the following sections. This will help readers gain a greater understanding of how to execute the necessary steps to achieve these principles.

Fraud Detection

According to the ACFE's *Report to the Nation*, occupational frauds are much more likely to be detected by a tip than by audits, controls, or other means.

GOVERNANCE OVER THE FRAUD RISK MANAGEMENT PROGRAM

Strong governance provides the foundation for an effective fraud risk management program. The *Fraud Guide* states that organizations' key stakeholders "... have raised the awareness and expectation of corporate behavior and corporate governance practices. Some organizations have developed corporate cultures that encompass strong board governance practices, including:

- Board ownership of agendas and information flow.
- Access to multiple layers of management and effective control of a whistleblower hotline.
- Independent nomination processes.
- Effective senior management team ... evaluations, performance management, compensation, and succession planning.
- A code of conduct specific for senior management, in addition to the organization's code of conduct.

- Strong emphasis on the board’s own independent effectiveness and process through board evaluations, executive session, and active participation in oversight of strategic and risk mitigation efforts.” ³

What this emphasizes is the importance of a corporate culture that includes the board obtaining assurances about the ethical conduct of management and employees. The *Fraud Guide* goes on to say, “Effective business ethics programs can serve as the foundation for preventing, detecting, and deterring fraudulent and criminal acts. An organization’s ethical treatment of employees, customers, vendors, and other partners will influence those receiving such treatment. These ethics programs create an environment where making the right decision is implicit.” ⁴

Roles and Responsibilities

The roles and responsibilities in a fraud risk management program must be formal and communicated. Policies and procedures, job descriptions, charters, and delegations of authority are all important in defining the various roles and responsibilities for such a program. Generally, the following roles and responsibilities are embedded in successful fraud risk management programs.

Board of directors. As indicated previously, boards help set the tone at the top. They do so by embracing the governance practices listed above. Many of the specific fraud oversight responsibilities may be carried out by committees of the board, such as the audit committee or the nominating and governance committee. This oversight should generally include:

- A general understanding of fraud-related policies, procedures, incentive plans, etc.
- A comprehensive understanding of the key fraud risks.
- Oversight of the fraud risk management program, including the internal controls that have been implemented to manage fraud risks.
- Receiving and monitoring reports that provide information about fraud incidents, investigation status, and disciplinary actions.
- The ability to retain outside counsel and experts when needed.

- Directing the internal audit function and the independent outside auditor to provide assurance regarding fraud risk concerns.

The board and committee responsibilities should be documented in the respective charters to ensure their roles and responsibilities are clearly delineated and understood. The board should also gain comfort that sufficient resources are being applied to ensure effective operation of the fraud risk management program.



Management. Similar to the board, management plays a very important role in setting the tone for the organization. Beyond what management says, how it acts is instrumental in shaping perceptions of the culture and its attitude toward fraud prevention. In addition, management is responsible for implementing the overall fraud risk management program. This includes direction and oversight over the system of internal controls, which must be designed and operated in a manner to prevent fraud incidents or detect them timely. Management must also establish a system of monitoring and reporting that will enable it to evaluate whether the fraud risk management

program is operating effectively. This helps provide management with timely and relevant information that can be reported to the board.

It is common in many organizations to assign a member of management the responsibility for overseeing the fraud risk management program. This responsibility may include overseeing fraud and ethics-related policies, conducting the fraud risk assessment, overseeing the controls that are designed to address fraud risks, monitoring the effectiveness of the program, coordinating the investigation and reporting process, and training and educating employees on the program. This individual should be at a sufficiently high level in the organization to reinforce management's commitment to preventing and deterring fraud. Typically there are other functions, most commonly from the legal and HR areas, that have defined support roles for this individual.

Tone at the Top

The entity-wide attitude of integrity and control consciousness, as exhibited by the most senior executives of an organization. See also Control Environment.

Employees. The day-to-day execution of the fraud risk management program, specifically the controls that are designed to prevent and detect fraud, must involve everyone in the organization. According to the *Fraud Guide*, this means that “all levels of staff, including management, should:

- Have a basic understanding of fraud and be aware of the red flags.
- Understand their roles within the internal control framework. Staff members should understand how their job procedures are designed to manage fraud risks and when noncompliance may create an opportunity for fraud to occur and go undetected.
- Read and understand policies and procedures ([that is], the fraud policy, code of conduct, and whistleblower policy), as well as other operational policies and procedures, such as procurement manuals.
- As required, participate in the process of creating a strong control environment and designing and implementing fraud control activities, as well as participate in monitoring activities.
- Report suspicions of incidences of fraud.

- Cooperate in investigations.” 5

Control Environment

The attitude and actions of the board and management regarding the significance of control within the organization.

For additional information about fraud risk management activities, and how these activities can be aligned with the Committee of Sponsoring Organizations of the Treadway Commission’s (COSO’s) *Internal Control – Integrated Framework*, refer to appendix I in the *Fraud Guide*.

The internal audit function. The internal audit function plays an important role in contributing to the overall governance of a fraud risk management program. This is primarily evident from the independent assurance the internal audit function provides to the board and management that the controls in place to manage fraud risks are designed adequately and operate effectively. The internal audit function’s role is discussed in greater detail later in the chapter.

It is recognized that the independent outside auditor has certain responsibilities with regard to the detection of certain types of fraud (primarily financial reporting fraud and misappropriation of certain assets). This role, which is well defined in the standards governing that profession, is not part of an organization’s fraud risk management program because such a role would violate the public accounting profession’s independence standards.

Components of a Fraud Risk Management Program

While there is no “one-size-fits-all” approach to designing a fraud risk management program, there are certain components that are common among most effective programs. Most organizations have written policies and procedures relating to fraud, and typically have some activities associated with assessing risks, designing effective controls, monitoring compliance, conducting investigations, and educating employees on fraud topics and red flags. However, few organizations have comprehensively tied

all of this together into an integrated program. Typically, successful integrated programs have certain key components.

- *Commitment* by the board and senior management. This commitment should be formally documented and communicated throughout the organization.
- *Fraud awareness* activities that help employees understand the purpose, requirements, and responsibilities of the program. These activities may include any or all of the following: written communications to all employees, oral communications during organizationwide meetings, postings on the organization's internal website and external Web page, and formal training programs.
- *An affirmation process* that requires employees to affirm periodically, typically annually, that they understand and are complying with policies and procedures.
- *A conflict disclosure* protocol or process that helps employees self-disclose potential or actual conflicts of interest. This would also include a means for timely resolution of matters that have been disclosed.
- *Fraud risk assessment* , which helps to identify all reasonable fraud scenarios. This is discussed further in the next section.
- *Reporting procedures and whistleblower protection* that provide a well-known and easy avenue for individuals, whether inside or outside the organization, to report suspected violations or incidents.
- *An investigation process* that ensures all matters undergo a timely and thorough investigation, as appropriate.
- *Disciplinary and/or corrective actions* that address noncompliance with established policies and help deter fraudulent behavior.
- *Process evaluation and improvement* to provide quality assurance that the program will continue to meet its objectives.
- *Continuous monitoring* to ensure the program consistently operates as designed.

Including these components in a fraud risk management program will not eliminate fraud risk. It will, however, provide reasonable assurance that fraud incidents are prevented, or detected timely and dealt with appropriately.

Fraud Awareness

Activities that help employees understand the purpose, requirements, and responsibilities of a fraud risk management program.

FRAUD RISK ASSESSMENT

As previously stated, the process of conducting a fraud risk assessment is similar to that of conducting an enterprise risk assessment. The three key steps are:

1. Identify inherent fraud risks;
2. Assess impact and likelihood of the identified risks; and
3. Develop responses to those risks that have a sufficiently high impact and likelihood to result in a potential outcome beyond management's tolerance.

When conducting a fraud risk assessment, it is important to involve individuals with varying knowledge, skills, and perspectives. While the specific individuals will vary from organization to organization, the risk assessment will typically include:

- Accounting and finance personnel to help identify financial reporting and safeguarding of cash fraud scenarios.
- Nonfinancial business personnel to leverage their knowledge of day-to-day operations, customer and vendor interactions, and other industry-related fraud scenarios.
- Legal and compliance personnel to identify scenarios that may include potential criminal, civil, and regulatory liability should fraud or misconduct occur.
- Risk management personnel to help identify market and insurance fraud scenarios, and to ensure the fraud risk assessment is integrated with the overall enterprise risk assessment.
- Internal auditors, who have an understanding of broad fraud risk scenarios and controls.

- Other internal or external parties who can provide additional expertise to the exercise.

The risk assessment process can take many different forms, the most common of which are interviews, surveys, and facilitated meetings. Regardless of the approach, it is important for individuals to remain open and creative to ensure the fraud risk universe is sufficiently comprehensive.

Fraud Risk Identification

An effective means of identifying the most comprehensive list of fraud risk scenarios is through brainstorming. While the actual approach may vary, this exercise should involve all of the individuals who are part of the risk assessment team discussed above. Brainstorming can help the organization identify and discuss the wide array of potential scenarios that may exist. One of the challenges when brainstorming fraud risks is to make sure that the discussion is not limited to scenarios perpetrated by a sole individual. Frequently, fraud includes collusion among multiple individuals, and while it is more difficult to brainstorm these scenarios, it is certainly no less important.

Reasonable Assurance

A level of assurance that is supported by generally accepted auditing procedures and judgments

The *Fraud Guide* outlines certain elements that should be considered when brainstorming fraud risk scenarios. All of these elements should be considered to ensure a comprehensive fraud risk universe can be compiled.

- **Incentives, pressures, and opportunities.** There are many possible motives for committing fraud. The first challenge when brainstorming fraud risk scenarios is to identify as many of those motives as possible. As described in the section covering the fraud triangle, frauds are committed when there is incentive or pressure to do so, the opportunity exists, and the perpetrator can rationalize the incident. Brainstorming rationalization scenarios is not common, as consideration of the other two sides of the fraud triangle must occur first and rationalization is very

individualistic. However, focusing on different incentives, pressures, and opportunities that may exist helps to identify scenarios to which the organization may be vulnerable. Incentives may represent monetary or other rewards that might give people a reason to act differently than they would normally act. Similarly, pressures may cause individuals to act differently because they feel they must relieve whatever is causing such pressures. Opportunities reflect ways through which a fraud can be committed, potentially without detection (for example, when controls are weak). Brainstorming potential incentives, pressures, and opportunities will likely produce the majority of the fraud risk scenarios.

- **Risk of management's override of controls.** Even when a sound system of internal controls exists, controls may still be vulnerable to override. Since management is typically “trusted” to make good decisions, override by management is possible because other employees tend not to question a management decision and assume it is for the benefit of the organization. There have been many chronicled cases of management override to facilitate fraudulent financial reporting or misappropriation of assets. Brainstorming management override scenarios will identify different fraud scenarios than brainstorming about incentives, pressures, and opportunities.
- **Population of fraud risks.** There are certain “universal” fraud risks that apply to all organizations and others that are common to those in certain industries or countries. While it is possible to identify most of these risks while brainstorming, such scenarios may already be documented and available through other sources, such as industry organizations, professional societies, consulting firms, etc. The ACFE has created a classification structure of occupational fraud risks that can help organizations brainstorm fraud risk scenarios. This structure was previously outlined in [exhibit 8-6](#).
- **Fraudulent financial reporting.** The elements above should help to identify most of an organization's fraud risks. However, it is helpful to also consider specific scenario types to determine whether additional scenarios may exist. Fraudulent financial reporting scenarios have received much notoriety in recent years, culminating in regulations in many countries (such as Sarbanes-Oxley) that are designed to reduce the

likelihood of material financial reporting frauds. This is an area that should be brainstormed with the independent outside auditors because they are likely considering the same scenarios.

- **Misappropriation of assets.** Another specific scenario type focuses on assets that could be misappropriated. This element begins with identifying what assets belong to the organization that might be valued by employees or outsiders (for example, vendors or customers). Next, scenarios can be identified that would allow such assets to be misappropriated. It is important to remember that physical safeguards may not always be sufficient. While tangible assets, such as cash, inventory, materials, and equipment, certainly need to be considered as part of this element, intangible assets, such as confidential employee or customer data or trade drawings, also may be subject to misappropriation. Therefore, IT can play an important role in controlling certain misappropriation of assets risks.
- **Corruption.** According to the *Fraud Guide*, corruption “is operationally defined as the misuse of entrusted power for private gain.”⁶ Examples of corruption include bribery of foreign officials or aiding and abetting other organizations committing fraud. The amount of time spent brainstorming corruption fraud scenarios will depend on the organization’s industry and countries of operation, but such scenarios should be given some thought.
- **Other fraud risks.** There may be other potential fraud risks that are not inherent in the elements above. The *Fraud Guide* mentions regulatory and legal misconduct, which could include “... conflicts of interest, insider trading, theft of competitor trade secrets, anti-competitive practices, environmental violations, and trade and customs regulations in areas of import/export.”⁷ Another type of fraud risk to consider relates to the organization’s reputation. Many of the risks already identified may impact an organization’s reputation, but there may be others as well.

Regulatory and Legal Misconduct

Includes conflicts of interest, insider trading, theft of competitor trade secrets, anti-competitive practices, environmental violations, and trade and customs regulations in areas of import/export.

Before finalizing the list of fraud risk scenarios, it is important to understand the potential causes and sources of each scenario. If several scenarios have the same root cause, it is possible that the root cause should be assessed, not the other scenarios. Ultimately, an organization should develop responses to the causes of risks, not the symptoms that may be seen on the surface. Similarly, understanding the potential sources of the scenarios (that is, where they might occur within the organization) also will help later in the process as responses are determined. Spending extra time at this stage to understand causes and sources will help make the rest of the fraud risk assessment program more successful.

It should be apparent that identifying fraud risk scenarios is not an exact science. It requires contributions from a diverse collection of individuals over time. Moreover, the brainstorming really never ends; the list of potential fraud scenarios continues to evolve over time. But similar to the enterprise risk assessment, identifying potential fraud risks provides the foundation for the next steps in the fraud risk assessment process.



Assessment of Impact and Likelihood of Fraud Risks

Determining the potential impact and likelihood of each fraud scenario is a very subjective process. The risk assessment concepts outlined in [Chapter 4](#) apply to fraud risk assessment as well. Following are key points that should be considered when assessing fraud risks.

- **Impact.** As previously stated, it is important to consider all possible outcomes of a fraud risk scenario, not just the financial statement or

monetary impact. The significance of other outcomes may be greater than the financial statement or monetary impact. For example, it is important to consider the legal impact (criminal, civil, and regulatory outcomes), reputational impact (such as damage to a brand), operational impact (such as cost of production and warranty liability), and impact on people (such as health and safety incidents, or inability to attract and retain employees in an organization with low morale). The objective is to identify fraud risk scenarios with outcomes that exceed management's tolerance relative to those outcomes. Given that precise quantification of fraud risk outcomes is difficult, the measurement of impact will typically be in general categories, such as highly significant, somewhat significant, or insignificant.

- **Likelihood.** Judgment regarding the probability or frequency of a fraud scenario is influenced in part by past experience, such as previous incidents of such a scenario within the organization or at organizations in the same industry or geographical location. However, an estimate of likelihood also should be made even if there is no knowledge of past events. As was the case with the impact assessment, precise probability quantifications are typically not possible or even necessary. Therefore, general measurement categories, such as probable, possible, or remote, are more commonly used.

Management's assessment involves considering impact and likelihood together. This assessment provides sufficient context about the fraud risk scenarios to begin making decisions about the resources and priorities that should be devoted to managing the scenarios.

Response to Fraud Risk

As indicated above, management's tolerance to fraud risks influences the fraud risk assessment. Typically, an organization's tolerance to fraud risks is lower than its tolerance to other risks. Specifically, when considering the potential impact on reputation or possible legal liability, an organization may establish a "zero tolerance" to many of the fraud risks. Such a level will influence, and may limit, its options regarding how to respond to the risks. However, there may be some fraud risk outcomes that will be

tolerable. There may be more flexible responses that can be applied to these risks.

Impact

The severity of outcomes caused by risk events. Can be measured in financial, reputation, legal, or other types of outcomes.

Since risk tolerance will vary from organization to organization, the responses to fraud risks also will vary widely. The concepts from COSO's *Enterprise Risk Management – Integrated Framework* apply when considering responses to fraud risks. This framework outlines four possible responses to risks.

- If a risk is so intolerable that an organization cannot allow for even a single incident to occur, management may need to consider ways to *avoid* the risk. An example would be selling an operation in a country where the risk of bribery is much too great.
- If an organization has little or no tolerance to a risk, but cannot avoid it without adversely affecting its objectives, controls would be designed to *reduce* the likelihood of the incident occurring, or the impact should it occur. This would be accomplished by establishing an appropriate blend of preventive and detective controls, as discussed in the next two sections.
- If an organization desires to reduce the impact or likelihood of a risk, but does not believe it has the skills or experience to do so effectively and efficiently, it may *share* the operation of preventive and detective controls with an organization that is better equipped to execute such controls.
- If the occurrence of a risk is tolerable, management may decide to *accept* the risk at its current level and not make any particular efforts to manage the risk.

Likelihood

The probability that a risk event will occur.

Once the risk response decisions are made, management must execute the necessary actions to carry out those responses. Since most fraud risk responses involve reducing the risks, the next two sections focus on fraud prevention and fraud detection.

ILLEGAL ACTS AND RESPONSE

With the world of business becoming increasingly complex, interconnected, and fast-paced, there has been an explosion of laws and regulations across the globe. Companies belonging to the most heavily regulated industries such as financial services and healthcare are keenly conscious of creating and maintaining an elaborate infrastructure for compliance.

Risk Tolerance

The acceptable levels of risk size and variation relative to the achievement of objectives, which must align with the organization's risk appetite.

The IIA's definition of fraud as “Any *illegal* act characterized by deceit, concealment, or violation of trust” (emphasis added) is particularly noteworthy.

In companies in many heavily regulated industries, it is not uncommon to find that the CAE reports directly to the general counsel or chief legal officer because the compliance element is so significant. In many instances, illegal acts are also fraudulent, so the techniques to address and respond to fraud risk may well carry over to the domain of illegal acts. Nevertheless, it is important to recognize that illegal, unethical, immoral, and fraudulent activities do not all entail the same thing.

Consider your car parked at a meter for a meeting running late. Perhaps you have not put sufficient money in the meter, thus making your parking “illegal” but not necessarily fraudulent. For companies operating in foreign jurisdictions, it frequently happens that they may have been unaware of a certain law (particularly if it is in a local, non-English language), or were inappropriately advised by their attorneys. It could then be argued that their

operating in that jurisdiction without a license was illegal, but by no means fraudulent.

The consequences of noncompliance can be severe as evidenced by prosecutions under and fines levied by invoking the Foreign Corrupt Practices Act (FCPA). The long-awaited December 2008 settlement between Siemens AG and U.S. and German regulators resulted in more than \$1.6 billion in combined FCPA fines related to charges of rampant bribery and kickbacks. This was quickly followed by the settlements with Kellogg Brown & Root, Inc. and Halliburton Company in February 2009 and totaling a combined \$579 million in criminal fines and disgorgement, confirming that the Siemens settlement was not an anomaly. In the first two quarters of 2012, several companies, including Weatherford International, Avon, and News Corp., have disclosed in SEC filings that they have spent well beyond \$100 million in FCPA-related investigation costs. Soon after allegations of a bribery campaign at Walmart's Mexico unit surfaced, the company announced that it would appoint a global FCPA officer and conduct a rigorous investigation.

Consequently, the FCPA of 1977 has recently emerged as a major compliance concern for U.S. companies operating globally. Beyond the sheer magnitude of the settlements noted above, these developments have several noteworthy implications for U.S. and multinational companies operating in today's enforcement environment. The focus on combatting illegal acts is not diminishing. In fact, in 2010, the United Kingdom (UK) Bribery Act was passed. It is believed to be even more expansive and stringent than the FCPA in its scope and implementation.

Some topics surrounding the FCPA that are pertinent for internal auditors focused on compliance efforts are:

- The anti-bribery provisions and related compliance concerns.
- The record-keeping and internal accounting control provisions.
- Conducting due diligence and instituting compliance measures.
- Internal investigations, disclosure obligations, and monitors.
- Related business, contractual, and employment issues.

- Measures for staying clear of FCPA violations and preempting enforcement actions.

To provide effective insight to their organizations, internal auditors must keep abreast of recent developments in this space, including:

- (i) aggressive enforcement efforts and associated penalties from non-U.S. regulators spanning the globe, ⁸
- (ii) the message, according to Acting Assistant Attorney General Matthew Friedrich, that the U.S. regulators will continue “efforts to level the business playing field, making it free from corruption and open to all who seek to participate within it,” which will include the investigation and prosecution of non-U.S.-based companies, ⁹
- (iii) the U.S. government’s expansive interpretation of the jurisdictional reach of the FCPA; ¹⁰
- (iv) the clear indication that foreign regulatory investigations can serve as the basis for Department of Justice and the U.S. Securities and Exchange Commission (SEC) investigations and that U.S. and non-U.S. regulators now routinely work cooperatively on anticorruption investigations; ¹¹
- (v) the need to have in place a robust compliance apparatus and respond appropriately to red flags;
- (vi) the importance of taking appropriate remedial action against culpable employees, particularly at high levels of management; and
- (vii) demonstration of the U.S. enforcement agencies’ openness to creative measures to facilitate companies’ internal investigations, such as possibly through amnesty and leniency programs for company employees and officials that cooperate with the investigation.

Exhibit 8-9 outlines illegal activities investigated under the FCPA and [exhibit 8-10](#) identifies warning signs of illegal acts internal auditors need to anticipate.



FRAUD PREVENTION

In a perfect world, an organization would prefer to implement sufficient fraud prevention controls to ensure none of the potential fraud scenarios occur. However, complete prevention is not possible and in many cases the cost of preventing certain fraud scenarios exceeds the benefits. That is why organizations develop fraud programs that combine an appropriate balance of both preventive and detective controls. Nevertheless, the familiar phrase “an ounce of prevention is worth a pound of cure” provides a good starting point for developing actions to manage fraud risks to an acceptable level.

There are different types of preventive techniques, several of which are discussed below. However, one of the most important forms of prevention relates to organizational awareness. The *Fraud Guide* states, “One key to prevention is making personnel throughout the organization aware of the fraud risk management program, including the types of fraud and misconduct that may occur. This awareness should enforce the notion that all of the techniques established in the program are real and will be enforced.” ¹² In other words, strong organizational awareness serves as a deterrent to fraud.

EXHIBIT 8-9

EXAMPLES OF FOREIGN CORRUPT PRACTICES ACT VIOLATIONS AND MONEY LAUNDERING ALLEGATIONS

Although the Foreign Corrupt Practices Act (FCPA) was passed in 1977, it is only from 2007 or so that the U.S. Department of Justice has implemented an aggressive enforcement program. The fines and penalties imposed and the reputational loss can be so significant that every U.S. company with global operations has invested significant resources into ensuring FCPA compliance.

The following areas of focus should be on the radar screen of every U.S. company that operates internationally as they constitute potential “landmines”:

- Paying intermediaries with a vague business purpose or no tangible work performed
- Obtaining and retaining detailed documentation describing the substance, purpose, and approval of transactions
- Determining whether facilitation payments can or should be made
- Giving gifts and paying for or reimbursing lavish travel or entertainment expenses
- Making large cash payments
- Mischaracterizing payments in the accounting records

Just in 2011-2012, several companies such as Weatherford International, News Corp., and Avon Products disclosed in SEC filings that they have each spent in excess of \$100 million annually on FCPA-related investigation costs (and this is without considering potential fines and penalties that could be levied by regulators at a later date).

In June 2008, cosmetics giant Avon commenced an internal investigation upon learning allegations that their China operations may have improperly incurred travel, entertainment, and other expenses. In July 2009, Avon reported a widening of FCPA-related violations in Latin America. Typically, an FCPA investigation

begun in one country has a high likelihood of leading to another country where the company (or suspect senior executive) is based.

In its 2011 annual report, Avon disclosed a whopping \$247 million spent since 2009 on professional and related fees associated with a global FCPA investigation: \$93.3 million in 2011, \$95 million in 2010, and \$59 million in 2009. The annual report narrative further observed, "While these fees are difficult to predict, they are expected to continue and may vary during the course of this investigation."

As reported in *ComplianceWeek*, June 2012, legal experts have divided opinions on the matter of self-reporting an internal investigation to enforcement agencies. They do agree that this is a decision that needs to be weighed carefully; perhaps all that is required is promptly implementing remedial measures and revising and enhancing compliance policies and procedures.

Sources: *The Ernst & Young Guide to Investigating Business Fraud*, AICPA, 2009; *ComplianceWeek*, June 2012, report by Jaclyn Jaeger titled, "High Cost of Conducting Full FCPA Investigations," (pp. 1, 24-25).

The "ounce of prevention" part of the familiar phrase represents an organization's proactive way of fighting fraud. By building preventive controls into the system of internal controls, management can establish a foundation that will deter most individuals from even considering fraud. In addition to implementing a strong fraud governance environment, the *Fraud Guide* outlines common elements that can play an important role in preventing fraud:

- **Performing background investigations.** Some individuals are more susceptible to succumbing to the temptations that may lead to fraud than others. An individual who has committed fraud once is more likely to do so again than one who has not. A comprehensive background investigation can help keep those most likely to commit fraud out of the organization. In addition to performing background investigations on potential employees, some organizations also will perform these investigations on new and existing vendors, customers, and business partners to reduce the risk of fraud from these outside parties.

- **Providing anti-fraud training.** Even if competent and honest employees are hired, they must understand what fraud is, the red flags to watch for, how to report suspected fraud incidents, and the consequences of committing fraud. Such training should be mandatory and also provide periodic updates.
- **Evaluating performance and compensation programs.** Organizations must be careful to not incent the wrong behavior. Compensation programs must be scrutinized carefully to make sure that they not only encourage the right behavior, but even reward it. Conversely, such programs must not inadvertently condone behaviors that might incent, or be perceived to incent, behavior that could be fraudulent.
- **Conducting exit interviews.** Employees leave for a variety of reasons. Frequently, they are willing to share those reasons. Exit interviews are often considered a detection control because individuals may be willing to “tell on” someone who they would not implicate when they were co-employees. However, awareness that exit interviews are conducted also may serve as a deterrent to fraud, which makes such interviews a preventive control as well.
- **Authority limits.** By establishing boundaries of authority, potential fraudulent transactions can be prevented over the established authority limits. A common example is prohibiting wire transfers of funds over a certain amount without the approval of two individuals. This control prevents fraudulent transactions over that amount, assuming there is no collusion among those individuals.
- **Transaction-level procedures.** Many fraud schemes involve third parties, including related parties. By requiring careful scrutiny of those transactions before they are consummated, an organization can prevent inappropriate transactions from occurring.



EXHIBIT 8-10

WARNING SIGNALS OF POSSIBLE ILLEGAL ACTS

- Unauthorized transactions, improperly recorded transactions, or transactions not recorded in a complete or timely manner in order to maintain accountability for

assets

- Investigation by a governmental agency, an enforcement proceeding, or payment of unusual fines or penalties
- Violations of laws or regulations cited in reports of examinations by regulatory agencies that have been made available to the auditor
- Large payments for unspecified services to consultants, affiliates, or employees
- Sales commissions or agents' fees that appear excessive in relation to those normally paid by the client or for the services actually received
- Unusually large payments in cash, purchases of bank cashiers' checks in large amounts payable to bearer, transfers to numbered bank accounts, or similar transactions
- Unexplained payments made to government officials or employees
- Failure to file tax returns or pay government duties or similar fees that are common to the entity's industry or the nature of its business

Source: Grant Thornton, The Audit Committee Guide Series. *Managing Fraud Risk: The Audit Committee Perspective* . Reproduced with permission.

Preventive Control

An activity that is designed to deter unintended events from occurring.

As part of the organization's system of internal controls, preventive controls must be documented in the same manner as any other control. This will help with the evaluation of whether the preventive controls are designed adequately, and also serve as a deterrent to the extent employees are aware that these controls are in place. Assessing the adequacy of fraud prevention controls takes experience and judgment, but there are tools available that can help with this process. For example, appendix F, Fraud Prevention Scorecard, of the *Fraud Guide* helps to facilitate the identification and assessment of some of the more common fraud prevention areas.

The *Fraud Guide* reinforces the importance of strong preventive controls, stating "The ongoing success of any fraud prevention program depends on

its continuous communication and reinforcement. Stressing the existence of a fraud prevention program through a wide variety of media—posters on bulletin boards, flyers included with invoices and vendor payments, and articles in internal and external communications—gets the message out to both internal and external communities that the organization is committed to preventing and deterring fraud.”¹³ The work being done by the Institute for Fraud Prevention is also noteworthy (see <http://www.theifp.org/>).

FRAUD DETECTION

As previously mentioned, an effective fraud risk management program cannot rely solely on prevention. Not only is the cost of preventing certain fraud scenarios prohibitively high, but it is not possible to prevent all fraud incidents from occurring. Fraud prevention can fail when there is inadequate design or ineffective operation of fraud prevention controls. In addition, collusion among individuals or management override may circumvent established controls that are designed to prevent fraud. As a result, an organization must have a prudent balance of fraud detection controls as well.

Collusion

Acts involving two or more persons, working together, whereby established controls or procedures may be circumvented for the gain of those individuals.

By definition, detective controls are those that are designed to identify occurrences of fraud or symptoms that may be indicative of fraud. Fraud detection techniques may be designed specifically to identify fraud, or they may be built into the system of internal controls and serve other purposes in addition to fraud detection. For example, the preparation and review of a bank reconciliation can serve many purposes, one of which is identifying unusual or suspicious transactions. The *Fraud Guide* outlines several common detection methods.

- **Whistleblower hotlines.** As noted earlier in this chapter, tips are the most common method of fraud detection. Hotlines allow individuals to report their concerns about suspicious activities and remain anonymous.

Whistleblower hotlines are frequently operated by third parties to make it easier for people to report matters without fear of reprisal. Broad awareness of a hotline can serve as a deterrent because potential fraud perpetrators realize it is easy for individuals to report their suspicions. In connection with maintaining a hotline, organizations must also employ an effective case management process. This process ensures that reported allegations are reported to the right individual, adequately vetted and investigated, if necessary, and receive timely resolution. Case management processes are typically administered by the head of the compliance program, the HR function, the legal function, or the internal audit function.

- **Process controls.** The most common type of detective controls are built into the day-to-day processes. Examples of process controls that can help to detect fraudulent activity include reconciliations, independent reviews, physical inspections or counts, certain types of analysis, and internal audits or other monitoring activities. The fraud risks with the greatest potential impact may require detective controls that can operate at a lower level of sensitivity to ensure timely detection.
- **Proactive fraud detection procedures.** While detection sounds reactive by nature, it is possible to design more proactive detection procedures. Common proactive procedures include data analysis, continuous auditing, and the use of other technology tools that can flag anomalies, trends, and risk indicators warranting attention. Some of the more creative fraud detection techniques involve analyzing data from multiple sources. Another example is software that searches for certain words or phrases in emails to identify individuals who may be considering, or already are committing, fraudulent activities.

Continuous monitoring and measurement techniques can help an organization evaluate, enhance, and improve its fraud detection techniques. There are a variety of criteria that can be measured. [Exhibit 8-11](#) provides a list of criteria that organizations can use to help them monitor, measure, and evaluate the effectiveness of their fraud detection techniques.

There are countless different controls that can serve to detect fraud. Organizations must focus on those controls that have the greatest likelihood of detecting fraud risk scenarios timely. Appendix G, Fraud Detection Scorecard, of the *Fraud Guide* helps to facilitate the identification and assessment of some of the more common fraud detection areas.

Detective Control

An activity that is designed to discover undesirable events that have already occurred. A detective control must occur on a timely basis (before the undesirable event has had a negative impact on the organization) to be considered effective.

Organizations can assess their fraud detection efforts against measurement criteria outlined in the *Fraud Guide*. These criteria can be found in [exhibit 8-11](#).

FRAUD INVESTIGATION AND CORRECTIVE ACTION

Clearly, detecting incidents or symptoms of fraud is quite important. But the battle is not over at detection. Whether an act of fraud is prosecuted through the legal system or handled within an organization, it is critical to understand all of the facts and circumstances surrounding the incident. Thus, the final stage of an effective fraud risk management program focuses on investigating, reporting, and correcting the suspected fraud incidents. There are several discreet steps involved in this stage.

Receiving the Allegation

Allegations may be received from a variety of sources in many different manners. As discussed earlier in the chapter, the ACFE's *Report to the Nation* cites tips, audits, and controls as the most common means of identifying frauds. Regardless of the source, an organization must have a process or protocol for gathering the available information pertaining to an allegation. This will help ensure that the organization "... develops a system for prompt, competent, and confidential review, investigation, and resolution of allegations involving potential fraud or misconduct." ¹⁴ There is no one-size-fits-all approach to receiving allegations; it will depend on

the nature of the allegation, who was purportedly involved, and the potential impact. Regardless of the protocol, the *Fraud Guide* states that “The investigation and response system should include a process for:

- Categorizing issues.
- Confirming the validity of the allegation.
- Defining the severity of the allegation.
- Escalating the issue or investigation when appropriate.
- Referring issues outside the scope of the program.
- Conducting the investigation and fact-finding.
- Resolving or closing the investigation.
- Listing types of information that should be kept confidential.
- Defining how the investigation will be documented.
- Managing and retaining documents and information.” ¹⁵



The process must be flexible enough to handle the many different types of allegations, but also structured enough to ensure all key steps are appropriately executed and documented. A formal process will help enable the remaining steps in this stage.

Evaluating the Allegation

Not all allegations of fraud prove to be acts of fraud. It is necessary to evaluate the information received and make many key decisions that can be critical to the effectiveness of the process. The evaluation step involves answering the following questions:

- Does this allegation require a formal investigation or is there enough information now to draw a conclusion?
- Who should lead the investigation?
- Are there special skills or tools needed to conduct the investigation?
- Who needs to be notified and when?
- Establishing formal protocols, as discussed below, will help answer these and other questions that are fundamental to evaluating the allegation.

Establishing Investigation Protocols

Establishing formal investigation protocols that are approved by management and the board will ensure an investigation achieves its objectives. The *Fraud Guide* states that “Factors to consider in developing the investigation plan include:

- *Time sensitivity* — Investigations may need to be conducted timely due to legal requirements, to mitigate losses or potential harm, or to institute an insurance claim.
- *Notification* — Certain allegations may require notification to regulators, law enforcement, insurers, or external auditors.
- *Confidentiality* — Information gathered needs to be kept confidential and distribution limited to those with an established need.
- *Legal privileges* — Involving legal counsel early in the process or, in some cases, in leading the investigation, will help safeguard work product and attorney-client communications.



EXHIBIT 8-11

FRAUD DETECTION MEASUREMENT CRITERIA

- Number of known fraud schemes committed against the organization
- Number and status of fraud allegations received by the organization that required investigation
- Number of fraud investigations resolved
- Number of employees who have/have not signed the corporate ethics statement
- Number of employees who have/have not completed ethics training sponsored by the organization
- Number of whistleblower allegations received via the organization's hotline
- Number of allegations that have been raised by other means
- Number of messages supporting ethical behavior delivered to employees by executives
- Number of vendors who have/have not signed the organization's ethical behavior requirements
- Benchmarks with global fraud surveys, including the type of fraud experienced and average losses
- Number of customers who have signed the organization's ethical behavior requirements
- Number of fraud audits performed by internal auditors
- Results of employee or other stakeholder surveys concerning the integrity or culture of the organization
- Resources used by the organization

Source: *Fraud Guide* , pp. 38-39.

- *Compliance* —Investigations should comply with applicable laws and rules regarding gathering information and interviewing witnesses.
- *Securing evidence* —Evidence should be protected so that it is not destroyed and so that it is admissible in legal proceedings.

- *Objectivity* —The investigation team should be removed sufficiently from the issues and individuals under investigation to conduct an objective assessment.
- *Goals* —Specific issues or concerns should appropriately influence the focus, scope, and timing of the investigation.” ¹⁶

The investigation should be conducted to address each of these factors. The actual process will depend upon the nature of the allegations, but most investigations include tasks such as interviewing individuals who may have information pertinent to the investigation, gathering hard-copy evidence from both internal and external sources, conducting forensic tests of electronic data, analyzing the data gathered, and documenting the results so that conclusions are supported and others can understand the judgments supporting those conclusions. Finally, an appropriate report will be prepared for those needing to understand the results of the investigation so that they can evaluate the subsequent actions taken.

Determining Appropriate Actions

The final step is determining the appropriate actions based on the results of the investigation. Possible actions include:

- Legal actions, whether criminal or civil.
- Disciplinary actions, such as warning, demotion, censure, suspension, or termination.
- Insurance claims if losses from the act are covered by insurance policies.
- Redesign or reinforcement of processes and controls that may have been inadequately designed or that operated ineffectively, allowing the incident to occur.

Regardless of the choice, actions must be swift and fair. Others in the organization may be watching to see how perpetrators are dealt with. While the ultimate actions may not be made public, employees must sense that the actions were fair under the circumstances and management would treat other perpetrators in the same manner. This is part of what reinforces the tone at the top, a critical element in fraud risk management governance.

UNDERSTANDING FRAUDSTERS

It is natural to think of a system of internal controls as being somewhat people neutral. That is, assuming an organization has competent individuals in key control positions, an adequately designed system of internal controls should operate effectively, even when people make mistakes. However, considering that fraud involves intent to act in a manner different than would normally be expected, another element must be considered: how unethical people might act. Internal auditors must have a heightened sense of professional skepticism and not assume that people will “do the right thing.” Putting it another way, internal auditors must “think like a crook to catch a crook.” They must try to understand why an otherwise honest individual would commit a dishonest act. Gaining this understanding will increase the likelihood that an internal auditor can detect, and in some cases even deter, an individual from committing a fraud.

Legal Privileges

Working with legal counsel to protect the results of investigations, supporting working papers, and communications with counsel.

Behavioral science has thus far been unable to identify a single psychological characteristic or a set of characteristics that can serve as a reliable marker of the propensity of an individual to commit fraud. For example, to say that “greed and dishonesty”—a commonly heard refrain—can account for all that went on during the “irrational exuberance” of the 1990s would be overly simplistic. After all, there are many professionals in the business world who are extremely ambitious, competitive, and wealthy, but nevertheless fully abide by the law. They do not necessarily resort to fraud to achieve their stretch goals. But they are motivated by something, and understanding the different motives that drive fraudsters is an important starting point. For example, one experienced forensic accountant and fraud examiner, Thomas Golden, believes that financial reporting fraud perpetrators fit one of two profiles: “greater good oriented” or “scheming, self-centered” types. Those who fit the greater good oriented profile are “otherwise honest individuals who misrepresent the numbers by rationalizing that what they are doing is best for the company.” The

scheming, self-centered types are “individuals who exhibit a rampant disregard for the truth, are well aware of what they are doing, and who are attempting to attain goals dishonestly.” ¹⁷ Gaining insights into the potential red flags that may signal individuals who are more vulnerable to committing fraud will help internal auditors understand when fraud risk is heightened. Such red flags include individuals who:

- Exhibit a lifestyle that appears to be well beyond their current means.
- Are experiencing extreme financial problems and/or have overwhelming personal debts.
- Have an unusual propensity to spend money.
- Are suffering from depression or other emotional problems.
- Appear to have a gambling obsession.
- Have a need or craving for status, and believe money can buy that status.

It also may help to view fraud from a criminologist’s perspective. They believe fraud, like any other crime, can best be explained by three factors: a supply of motivated offenders, the availability of suitable targets, and the absence of capable guardians—controls systems or someone “to mind the store” so to speak. ¹⁸ Notice how similar these three factors are to those in the fraud triangle. Familiarity with these factors may help internal auditors be alert to fraud vulnerabilities. Toward that last point, Joseph Wells, the founder of the ACFE, offers an interesting perspective on how fraudsters view controls versus the perception that they will be caught. This view is summarized in [exhibit 8-12](#) .

Internal auditors are not expected to become behavioral psychologists or criminologists. However, gaining insights into what motivates fraudsters can help internal auditors “keep their antennas up” in the workplace and, potentially, anticipate individuals who may present a greater risk of fraud.

IMPLICATIONS FOR INTERNAL AUDITORS AND OTHERS

It should be evident by now that internal auditors play a key role in a fraud risk management program. The *Standards* provides specific guidance for internal auditors. For example:

Standard 1210.A2 – Internal auditors must have sufficient knowledge to evaluate the risk of fraud and the manner in which it is managed by the organization, but are not expected to have the expertise of a person whose primary responsibility is detecting and investigating fraud.

Standard 1220.A1 – Internal auditors must exercise due professional care by considering the ... probability of significant errors, fraud, or noncompliance ...

Standard 2060 – The chief audit executive must report periodically to senior management and the board on ... fraud risks ...

Standard 2120.A2 – The internal audit [function] must evaluate the potential for the occurrence of fraud and how the organization manages fraud risk.

Fraud Perpetrators

Generally fit one of two profiles: greater good oriented or scheming, self-centered types.

These standards make it clear that internal auditors must consider fraud in almost everything they do. But the *Standards* does not provide the only impetus for internal audit functions to focus on fraud. The role of the internal audit function has been emphasized in recent legislation, regulatory mandates, and the proliferation of governance-focused organizations around the world. As a result, the gatekeepers of financial integrity, among them internal auditors, have achieved significant prominence and are increasingly being asked to play a key role in preventing, deterring, and detecting fraud in for-profit, governmental, and nonprofit organizations globally. As the “eyes and ears, and arms and legs of the audit committee,” internal auditors need to consider the following questions:

- What fraud risks are being monitored by management on a periodic or regular basis? Are the critical fraud risks subject to frequent, and even continuous, monitoring?
- What specific procedures are being performed by the internal audit function to address management override of internal controls?

- Has anything occurred that would lead the internal audit function to change its assessment of the risk of management override of internal controls?
- What competencies and skills do internal auditors need to address the risk of fraud within organizations? When should they obtain the services of outside specialists to deal with particularly complex issues?
- In addition to establishing direct lines of reporting to the audit committee, how can the independent organizational status of the internal audit function be strengthened? Are they relied upon as competent and objective professionals in addressing fraud risk and control issues?
- How should the internal audit function devote its attention to the preventive, deterrent, detective, and investigative aspects of fraud?
- How can internal audit add data analytics software to provide the early detection?

To fulfill this responsibility to the audit committee and other stakeholders, internal auditors must be equipped with skills and experience beyond that which is necessary for most assurance engagements.

Professional Skepticism, Professional Judgment, and Forensic Technology

The exercise of sound professional judgment lies at the heart of the internal audit function's assurance and consulting activities. When assessing fraud risks, the internal auditor must exhibit a high degree of professional skepticism, that is, an ability to critically evaluate the evidence and information available at hand. This is particularly so because fraud perpetrators typically "cover their tracks" and determined persistence may be required to unravel a well-concealed fraud scheme. For example, it required dogged perseverance by 2004 *Time* magazine's Person of the Year, Cynthia Cooper and her internal audit team at WorldCom, to unearth the massive fraud committed by WorldCom management.

EXHIBIT 8-12

CONTROLS VERSUS THE PERCEPTION OF BEING CAUGHT

Joseph Wells provides a penetrating analysis of how fraudsters think. Echoing 18th century economist Jeremy Bentham, he observes that the likelihood of committing a (white-collar) crime is a function of the perpetrator's perception of the risks and rewards, that is, those who assess the probability of getting caught as being high are naturally less inclined to commit fraud. It is well known that, on the effectiveness dimension, fraud risk control activities pale in comparison to the increase in the perception of being apprehended, and the observed follow-up consequences from the organization's track record in the handling of past incidents and allegations. Hence, from a behavioral standpoint, this raises the possibility of creating an "anticipation effect" (that is, the anticipation of being audited), including unannounced surprise checks as part of the fraud prevention and deterrence controls. Continuing this line of reasoning, both independent outside and internal auditors, through creative and imaginative approaches to their work using technology (for example, continuous control monitoring) or advances in statistics (for example, discovery sampling approaches, Benford's Law) or even "active brainstorming about the ways fraud could be perpetrated" can put up strong deterrents and defenses to fraud, all the while improving fraud detection capabilities. Management must act decisively and swiftly against fraud perpetrators when they are identified as a result of a fraud investigation. Such swift and decisive action can go a long way in cementing fraud deterrence efforts.

Wells, Joseph T., "Let Them Know Someone's Watching," *Journal of Accountancy*, May 2002.

Not all internal auditors exercise the same degree of professional skepticism—some are naturally more skeptical than others, some accept explanations at face value, and others want to probe further and dig deeper. The latter types, who would seem to have natural "sleuthing tendencies," also display

higher levels of professional skepticism, in general. While being “paranoid” may frequently result in over-auditing, whenever facts and circumstances suggest a higher likelihood of fraud, exhibiting a heightened degree of professional skepticism may be expected, warranted, and justified.

Due Professional Care

Applying the care and skill expected of a reasonably prudent and competent internal auditor. Does not imply infallibility.

When leading or participating in a fraud investigation, internal auditors may have to deal with evidence that differs from what they are accustomed to on other engagements. These assignments may be more complex and involve a review of disparate pieces of evidence with diverse characteristics and degrees of reliability. In such contexts, an experienced internal auditor has better ability to make connections and reconstruct the whole picture from incomplete information and evidence. This is why most fraud investigation groups are staffed with individuals who have significant controls experience. Indeed, research on the applications of artificial intelligence (including neural network technology) has shown that solving the puzzle, that is, aggregating dispersed evidence, is actually a pattern recognition problem. In other words, all the available evidence cannot be considered sequentially; instead, a holistic approach that considers all the available evidence simultaneously may be required. In such circumstances, it may be important for the technology-savvy internal auditor to leverage decision aids, expert systems, and artificial intelligence to increase both effectiveness and efficiency (for example, Benford’s Law or digital analysis, advanced computer-assisted audit techniques [CAATs], and predictive analytics, including regression models and neural networks). While movies and television shows may glamorize this process, having a CSI (Crime Scene Investigation) mentality serves internal auditors well when assessing fraud risks and conducting fraud engagements.

With the ubiquitous use of technology-enabled communications, forensic investigations and fraud examinations in the future will depend heavily on computer forensics, computer data imaging, electronic evidence discovery,

and the analysis of structured and unstructured data. In other words, the use of technology will not be limited to data analysis (after structured data has been collected); instead, the very extraction and preservation of electronic evidence—usually in the form of textual, unstructured data requiring keyword searches, for instance—will be technology intensive. In such a context, it will be crucial for fraud examiners to have a sound understanding of, and mastery over, digital forensics—the latest and emerging forensic technology tools and techniques.

Use of Fraud Specialists

The internal audit function can play a variety of roles to combat fraud in an organization, including conducting fraud awareness training, assessing the design of antifraud programs and controls, testing the operating effectiveness of such controls, investigating improprieties and whistleblower complaints, and conducting a full-fledged investigation at the behest of the audit committee. However, the internal audit function may not have the experience and skills to perform all of these roles. As a result, it is common for the CAE to seek the help of fraud specialists to complement the skills of those in the function.

The most common specialists engaged are CFEs, who specialize in conducting forensic accounting investigations (usually after the fact, when predication exists) to resolve allegations or suspicions of fraud, reporting to the CAE, an appropriate level of management, or to the audit committee or board of directors, depending upon the nature of the issue and the level of personnel involved. They also may assist the audit committee and the board of directors with aspects of the oversight process, either directly or as part of a team of internal auditors or independent outside auditors, in evaluating the fraud risk assessment and fraud prevention measures implemented by senior management. They can provide more objective input into management's evaluation of the risk of fraud (especially fraud involving senior management, such as financial statement fraud) and the development of appropriate antifraud controls that are less vulnerable to management override. In recent years, several internal audit professionals have obtained the CFE designation and, having acquired this specialized expertise, are

better equipped to discharge their responsibilities in this area. Many internal audit functions try to have at least one CFE on the staff. However, individuals with this expertise are not as plentiful as may be necessary. As a result, it is common to source the CFE expertise from outside service organizations.

Professional Skepticism

The state of mind in which internal auditors take nothing for granted; they continuously question what they hear and see and critically assess audit evidence.

While the CFE designation is the primary qualification for fraud specialists, other specialties also may be needed. For example, when investigations involve fraudulent financial reporting, possessing the CPA/CA credential can be very helpful. Additionally, technology specialists may be able to conduct advanced investigative techniques using tools that are customized for such purposes.

There are numerous advantages to using outside fraud specialists, in addition to the independence they bring to the job. For example, they have extensive experience with identifying and investigating a variety of different fraud schemes. Therefore, they can help in identifying and assessing the “usual suspects” and recommending the optimal methods of investigation. Additionally, having worked with independent counsel, general counsel, state attorneys, regulators, law enforcement personnel, other accountants and auditors, and prosecutors, they have a good understanding of issues such as:

- The best way to investigate a specific type of fraud scheme.
- Assessing the quality and quantity of evidence needed.
- Evaluating the admissibility of evidence in consultation with outside lawyers.
- Preserving evidence and the chain of custody.
- The need for, as well as potential to act as, a fact witness or as an expert witness.

It is very important for internal auditors to conduct investigations fairly and thoroughly, and develop and maintain the documentation necessary to support any actions that result from the investigation. Using specialists is common practice to ensure these objectives are achieved.

Communicating Fraud Audit Outcomes

When preparing communications concerning the results of fraud audits or investigations, many of the principles discussed in [Chapter 14](#), “Communicating Assurance Engagement Outcomes and Performing Follow-up Procedures,” apply. For example, internal auditors should identify the criteria, condition(s), cause, and effect to summarize their findings from a fraud investigation. They should write their communications in a systematic, organized fashion to enhance clarity and comprehension, which typically includes:

- A brief, clear statement of the issue(s).
- A citation of the relevant policies, rules, standards, laws, and regulations that may be applicable to the case at hand.
- The analysis of the evidence gathered to form a professional opinion.
- The conclusions; that is, the findings and recommendations.

Certified Fraud Examiners

Individuals certified as specialists in conducting forensic accounting investigations and advising on fraud risks and other fraud matters.

This will help make the communication clear and useful, particularly if it is being relied upon by the general counsel or the outside attorney conducting the investigation, who may want to make the communication part of their own communication. At all times, the communications issued by internal auditors should contain facts only, and every effort must be made to eschew personal opinions or any kind of bias or speculation that could potentially enter the analysis. In any case, they should never seek to fix culpability on any particular employee(s), but should merely state that the evidence gathered appears to support the conclusion that fraud may have been perpetrated. Determining culpability and affixing blame are functions of the

court (the judge and the jury), and are typically outside the scope of the internal auditor's responsibility.

OPPORTUNITIES TO PROVIDE INSIGHT

Internal auditors can provide insight to senior management regarding prevention and detection of fraud and illegal acts in a number of ways. The top 10 opportunities for internal auditors to provide insight are outlined in [exhibit 8-13](#) .

SUMMARY

Fraud is a major concern among all types of organizations. Rising fraud awareness around the world has compelled local regulators to address management's responsibilities for fraud prevention, deterrence, and detection. Audit committees and management are increasingly looking to the internal audit function for help with the design adequacy and operating effectiveness of fraud risk management programs and related controls.

An effective fraud risk management program must have certain key elements. First, there must be sound governance activities in place, both directly related to the program and overall within the organization. Second, a comprehensive fraud risk assessment must be completed. This includes the identification of possible fraud events or scenarios, the assessment of impact and likelihood of those scenarios, and decisions regarding what types of responses should be made to those scenarios. Third, effective controls must be designed and implemented. These controls should be balanced between preventive controls aimed at stopping fraud from occurring and deterring potential fraudsters from considering fraudulent acts, and detective controls, which will help ensure timely identification of fraud incidents. Finally, a process must be established to facilitate reporting of fraud incidents, investigation of those incidents, and implementation of disciplinary and corrective actions.

The internal audit function is essential for promoting and supporting an organization's fraud risk management program. The *Standards* requires internal auditors to consider fraud in most of their activities. As a result,

internal auditors can support all of the elements of an effective fraud risk management program. Understanding the behavioral characteristics of potential fraudsters helps internal auditors stay alert for those situations in which fraud is most likely. This sense of alertness, coupled with a heightened professional skepticism, can help internal auditors prevent or deter potentially fraudulent actions, and detect timely those incidents that have occurred. Finally, while the skills possessed by most internal auditors are valuable, it is important for the CAE to recognize when it is necessary to hire outside fraud specialists, such as CFEs, and use specialized fraud technology to better enable the internal audit function in fulfilling its fraud-related responsibilities.



Illegal acts are especially problematic for organizations belonging to industries that are heavily regulated, for example, financial services, healthcare, and the public sector. Increasingly, internal auditors are tasked with compliance responsibilities, and it is not uncommon to find them reporting to the general counsel in such circumstances. Rising prosecutions related to the FCPA in the U.S., the UK Bribery Act of 2010, and anti-

money laundering efforts have put the spotlight on compliance with applicable laws and regulations. Nevertheless, it is important to recognize that illegal, unethical, immoral, and fraudulent activities do not all refer to the same thing.

EXHIBIT 8-13

10 OPPORTUNITIES FOR THE INTERNAL AUDIT FUNCTION TO PROVIDE INSIGHT INTO THE RISK OF FRAUD AND ILLEGAL ACTS

1. Assist the organization in the development of comprehensive fraud risk assessment.
2. Develop processes for early detection of fraud.
3. Develop data analysis tools that can be used to detect fraud in the early stages.
4. Assist with the development of hotline call procedures.
5. Provide fraud awareness training throughout the organization.
6. Act decisively on significant fraud events.
7. Assist in postmortem analysis when fraud occurs.
8. Inform management of potential legal acts that are risks to the organization.
9. Assist management in developing a culture of ethical behavior and low tolerance of fraud.
10. Stay abreast and inform management of emerging issues and developing issues related to compliance and regulations.

REVIEW QUESTIONS

1. According to the ACFE's *Report to the Nation* , what percentage of their revenues do organizations lose to fraud? Based on the 2011 World GDP, approximately how much is that in dollars?
2. What is the definition of fraud provided in the *Fraud Guide* ?
3. According to the AICPA, by what three ways can fraudulent financial reporting be accomplished?
4. According to the ACFE, what four elements characterize an act of occupational fraud?
5. What are the three elements that may be called the “root causes of fraud” (that is, they are always present, no matter the type of fraud)?
6. What are the five key principles for managing fraud risk outlined in the *Fraud Guide* ?
7. What are some examples of strong governance practices?
8. What roles and responsibilities should each of the following have in a fraud risk management program?
 - a. The board of directors.
 - b. Management.
 - c. Employees
 - d. The internal audit function.
9. According to the *Fraud Guide* , what 10 components are typically found in a successful fraud program?
10. What are the three key steps in a fraud risk assessment?

11. What elements should be considered while brainstorming fraud risk scenarios to ensure a comprehensive fraud risk universe is compiled?
12. What key points should be considered when assessing fraud risks?
13. What are the four possible responses to fraud risks?
14. Why must internal auditors be knowledgeable about the FCPA?
15. Per the *Fraud Guide* , what methods can an organization employ to:
 - a. Prevent fraud?
 - b. Detect fraud?
16. What steps are involved in the final stage in an effective fraud risk management program?
17. According to Thomas Golden, what two profiles fit financial reporting fraud perpetrators?
18. What IIA *Standards* provide specific guidance to internal auditors regarding their fraud-related responsibilities?
19. What does “professional skepticism” mean?
20. How might fraud specialists, such as CFEs, assist the internal audit function in combating fraud?
21. What should internal auditors include in their fraud audit communications? What should they not include?

MULTIPLE-CHOICE QUESTIONS

Select the best answer for each of the following questions.

1. Predication is a technical term that refers to:
 - a. The ability of internal auditors to predict fraud successfully.
 - b. The ability of a fraud examiner to commence an investigation if a form of evidence exists that fraud has occurred.
 - c. The activities of fraud perpetrators in concealing their tracks so that fraud is covered up and may not be discovered.
 - d. Management's analysis of fraud risks so they can put in place effective anti-fraud programs and controls.
2. What fraud schemes were reported to be most common in the ACFE's 2012 *Report to the Nation* ?
 - a. Corruption.
 - b. Fraudulent billing.
 - c. Misappropriation of assets by employees.
 - d. Inappropriately reporting revenues in published financial results.
3. Which of the following is not a typical "rationalization" of a fraud perpetrator?
 - a. It's in the organization's best interest.
 - b. The company owes me because I'm underpaid.
 - c. I want to get back at my boss (revenge).
 - d. I'm smarter than the rest of them.
4. Which of the following is not something all levels of employees should do?
 - a. Understand their role within the internal control framework.

- b. Have a basic understanding of fraud and be aware of the red flags.
 - c. Report suspicions of incidences of fraud.
 - d. Investigate suspicious activities that they believe may be fraudulent.
- 5.** An organization that manufactures and sells computers is trying to boost sales between now and the end of the year. It decides to offer its sales representatives a bonus based on the number of units they deliver to customers before the end of the year. The price of all computers is determined by the vice president of sales and cannot be changed by sales representatives. Which of the following presents the greatest reason a sales representative may commit fraud with this incentive program?
- a. Sales representative may sell units that have a lower margin than other units.
 - b. Customers have the right to return a laptop for up to 90 days after purchase.
 - c. The units delivered may be defective.
 - d. The customers may not pay for the computers timely.
- 6.** How should an organization handle an anonymous accusation from an employee that a supervisor in the organization has manipulated time reports?
- a. Assign a staff internal auditor to review all time reports for the past six months in the supervisor's area.
 - b. Make a record of the accusation but do nothing, as anonymous accusations are typically not true.
 - c. Assess the facts provided by the anonymous party against pre-established criteria to determine whether a formal investigation is warranted.
 - d. Turn the issue over to the HR department because this type of anonymous accusation is usually just a human resource issue.
- 7.** Which of the following is an example of misappropriation of assets?
- a. A small amount of petty cash is stolen.
 - b. A journal entry is modified to improve reported financial results.

- c. A foreign official is bribed by the chief operating officer to facilitate approval of a new product.
 - d. A duplicate bill is sent to a customer in hopes that they will pay it twice.
- 8.** Which of the following is not an example of a fraud prevention program element?
- a. Background investigations of new employees.
 - b. Exit interviews of departing employees.
 - c. Establishing authority limits related to purchasing commitments.
 - d. Analyzing cash disbursements to determine whether any duplicate payments have been made.
- 9.** Which of the following types of companies would most likely need the strongest anti-fraud controls?
- a. A manufacturer of popular athletic shoes.
 - b. A grocery store.
 - c. A bank.
 - d. An Internet-based electronics retailer.
- 10.** A payroll clerk increased the hourly pay rate of a friend and shared the resulting overpayment with the friend. Which of the following controls would have best served to prevent this fraud?
- a. Requiring that all changes to pay records be recorded on a standard form.
 - b. Limiting the ability to make changes in payroll system personnel information to authorized HR department supervisors.
 - c. Periodically reconciling pay rates per personnel records with those of the payroll system.
 - d. Monitoring payroll costs by department supervisors monthly.
- 11.** The internal audit function's responsibilities with respect to fraud are limited to:
- a. The organization's operational and compliance activities only because financial reporting matters are the responsibility of the

independent outside auditor.

- b. Monitoring any calls received through the organization's whistleblower hotline but not necessarily conducting a follow-up investigation.
- c. Being aware of fraud indicators, including those relating to financial reporting fraud, but not necessarily possessing the expertise of a fraud investigation specialist.
- d. Ensuring that all employees have received adequate fraud awareness training.

12. From an organization's standpoint, because internal auditors are seen to be "internal control experts," they also are:

- a. Fraud risk management process owners, and hence, the first and most important line of defense against fraudulent financial reporting or asset misappropriation.
- b. The best resource for audit committees, management, and others to consult in-house when setting up anti-fraud programs and controls, even if they may not have any fraud investigation experience.
- c. The best candidates to lead an investigation of a fraud incident involving the potential violation of laws and regulations.
- d. The primary decision maker in terms of determining punishment or other consequences for fraud perpetrators.

DISCUSSION QUESTIONS

1. Discuss why the internal audit function's organizational status, competence, and objectivity are particularly important when considering fraud by senior management. Why might a CAE reporting directly to the chief financial officer, CEO, general counsel, or controller be more problematic than reporting to the audit committee (or equivalent)?
2. The Open Compliance and Ethics Group (OCEG) released a guide for internal auditors to assist them in performing ethics and compliance audits (this guide can be found at www.oceg.org). How will “tone at the top,” a control consciousness orientation, and a culture of integrity and ethics within organizations assist, if at all, in preventing, deterring, and detecting fraud? Is it sufficient that organizations effectively deter activities that are “illegal, unethical, or immoral,” and if these are observed, ensure that the “whistleblower hotline” will be used to report such wrongful conduct that might well be a precursor to fraud?
3. Fraud appears to come in different colors, stripes, shapes, and sizes. This explains why so many terms exist to describe fraud. Research and provide a brief definition of each of the following terms:
(1) bribery and kickbacks, (2) conflict of interest, (3) cooking the books, (4) self-dealing and corruption, (5) defalcation/embezzlement, (6) fictitious revenues or expenses, (7) identity theft, (8) industrial espionage, (9) intentionally violating GAAP, (10) kiting, (11) lapping, (12) larceny, (13) breach of fiduciary duty, (14) misrepresentation of material facts, (15) money-laundering, (16) conspiracy, (17) sham entities, (18) round-tripping, (19) forgery, (20) false or manipulated T&E reimbursement claims, (21) theft of trade secrets, (22) topside journal entries, (23) bid-rigging, (24) price fixing, (25) undisclosed side

agreements, (26) ghost employees, (27) back-dating stock options, spring loading, and bullet dodging, (28) illegitimate off-balance sheet transactions, (29) false claims, (30) window dressing, (31) channel stuffing, and (32) insider trading.

4. In general, what are the fraud risk indicators that internal auditors should be aware of? How are these “red flags” (fraud risk factors) influenced by industry and geography? Why does it seem that certain areas and assets are more vulnerable to fraud, that is, what “relative risk” considerations need to be factored in? Expand these considerations to materiality (that is, the significance or importance of achieving organizational objectives) and the appropriateness and sufficiency of evidence.
5. How can the internal audit function assist the audit committee by alerting it to instances of management override of internal controls on a timely basis?
6. How should internal auditors help, if at all, with forensic accounting investigations?
7. Internal auditors may be asked to conduct a fraud investigation involving litigation. Is it important to consider conducting the investigation under attorney-client privilege? Explain.

CASES

Case 1

“Fannie Mae Ex-Officials May Face Legal Action Over Accounting” (The *Wall Street Journal*, May 24, 2006, see pages A1 and A11).

Mr. James B. Lockhart, acting director of the Office of Federal Housing Enterprise Oversight (OFHEO), Fannie Mae’s main regulator, denounced what he called an “arrogant and unethical culture” at the second largest borrower in the U.S. after the federal government. Specifically, the OFHEO’s 340-page report blamed both the board and management for a corporate culture that allowed managers to disregard accounting standards when they got in the way of achieving earnings targets. The company then rewarded executives with huge bonuses for hitting those targets, the OFHEO report said.

With reference to internal auditing, the OFHEO report quotes a speech from Mr. Sam Rogers,* a former head of Fannie Mae’s auditing office, as telling internal auditors they had a “moral obligation” to strive to meet a goal set by then Fannie Mae CEO, Mr. Frank Raines, in 1999 to double earnings per share to \$6.46 by 2003. “By now, every one of you must have \$6.46 branded in your brains,” the OFHEO report quotes Mr. Rogers as saying. “You must have a raging fire in your belly that burns away all doubts, you must live, breath (sic) and dream \$6.46 ... After all, thanks to Frank [Raines], we all have a lot of money riding on it” in terms of bonuses. Given Mr. Rogers’s responsibility for monitoring compliance with accounting rules, those remarks were “inappropriate,” OFHEO said.

What’s wrong with this picture? Did Mr. Rogers potentially violate The IIA’s Code of Ethics and *Standards* by making these remarks? Comment on his organizational status, independence, and objectivity as then Fannie Mae

head of internal auditing, and discuss whether there may be a conflict when internal auditors receive stock options and bonuses that are tied to financial performance.

(*Sam Rogers is a fictitious name.)

Case 2

A number of large cases of fraud have come to trial and the postmortems are completed. You have learned a lot related to identifying fraud risk, mitigating control activities, as well as promoting organizational ethics and compliance. You now should understand that fraud incidence is more common than previously thought, and that there are many techniques, methods, and motivations to fraud. You also should understand that fraud that is uncovered may just be a symptom of other issues and problems (for example, when management lacks integrity, a restatement of the financial statements may mean that the independent outside auditor and/or internal auditor was successful in foiling attempted fraud). We now have a lot more regulation—a classic response to similar periods in history.

Your group project is strategic in nature and relates to how internal auditors can deal with fraud and the impact of some of the current regulations such as Sarbanes-Oxley. The first part of this case study is to select three such cases. Your task is to look at the root cause of each fraud and identify techniques that might have prevented each from occurring, or at least detected it timely.

As a group, prepare a PowerPoint presentation. The presentation should include two or three slides for each fraud case that summarize the fraud, approximate loss incurred, the parties involved in the fraud, the root cause of the fraud, and the corrective actions that have been taken since the fraud occurred. Also indicate whether Sarbanes-Oxley (or comparable local legislation and regulation) is robust enough to preclude such a fraud from occurring in the future. Additionally, describe the corrective actions your group would recommend to prevent, or detect timely, this type of fraud. On a separate slide, compare the root causes of the three fraud cases you study.

On a final slide, convey what your group learned as a result of completing this case study.

Case 3

The purpose of this case is to familiarize you with the Benford's Law functionality of the ACL and IDEA software. If you have not already done so, visit the [Supplementary Materials website](#) to access the software installation links.

A. Open the ACL software. Locate the description of “Benford command” in ACL Help. Answer the following questions.

1. What does the ACL Benford command do?
2. What caution is provided regarding the use of digital analysis tools such as the Benford command?
3. How is the Benford command activated?

B. Open the IDEA software. Locate the description of “Benford's Law” in IDEA Help. Answer the following questions.

1. Benford's Law analysis is most effective on data with certain characteristics. What are these characteristics?
2. Identify and briefly describe the seven steps used to perform a Benford's Law analysis.
3. What fields are contained in the database created when a Benford's Law analysis is performed?

C. Locate the description of “Fraud Investigations” in IDEA Help. Click on “Payroll frauds.” Answer the following questions.

1. What types of payroll fraud are described?
2. How are most payroll frauds found?
3. Describe the payroll fraud tests that can be performed using IDEA.